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2018/19 ANNUAL REPORT

ABANS ELECTRICALS PLC

OUR VISION

ATTRACT AND RETAIN CUSTOMERS FOR LIFE

OUR MISSION

ALWAYS THERE TO SERVE YOU BETTER

Stepped - Up

“If it were easy, everyone would do it. The financial year 2018-19 presented a plethora of macro-environmental challenges that turned market sentiments negative and constrained business growth across the country. Against this unavoidable macro backdrop of heightened systematic risks in which the top line of Abans Electricals PLC was pressured downwards, we did not give up. Instead, we stepped-up to the challenge and stepped-up our performance, to overcome the obstacles. Directed by a flexible and resilient strategic blueprint, supported by an attitude that says ‘never give up,’ we have closed the year by recording a strong bottom line, leading to enhanced shareholder value and fair returns for all key stakeholders. In 2018-19, we have truly stepped-up our game to deliver value for the present and the future.”

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		2018/2019	2017/2018	Change %
Operating Results				
Revenue	LKR '000	2,870,558	3,492,566	-17.81%
Gross Profit	LKR '000	397,554	392,845	1.20%
Operating Profit	LKR '000	144,017	154,356	-6.70%
Profit before Taxation	LKR '000	76,546	91,939	-16.74%
Profit after Taxation	LKR '000	74,344	43,701	70.12%
Gross Dividend Paid	LKR '000	10,221	15,332	-33.33%
Interest Coverage	No. Times	2.13	2.47	-13.77%
Gross Profit Margin	%	13.85	11.25	23.11%
Operating Profit Margin	%	5.02	4.42	13.52%
Net Profit Margin	%	2.59	1.25	107.20%
Financial Position				
Total Assets	LKR '000	2,794,523	2,592,991	7.77%
Total Debt	LKR '000	632,088	413,040	53.03%
Current Assets	LKR '000	1,234,689	1,424,676	-13.34%
Current Liabilities	LKR '000	1,062,520	1,161,260	-8.50%
Shareholders' Fund	LKR '000	1,349,651	1,179,265	14.45%
Gearing (D/D+E)	%	31.90	25.94	22.98%
Current Ratio	No. Times	1.16	1.23	-5.69%
Return on Assets (ROA)	%	2.66	1.69	56.40%
Return on Capital Employed (ROCE)	%	7.27	9.69	24.97%
Shareholder Information				
Return on Equity (ROE)	%	5.51	3.71	48.52%
Earnings per Share	LKR	14.55	8.55	70.18%
Dividend per Share	LKR	2.00	3.00	-33.33%
Market Capitalization	LKR '000	265,749	430,820	-38.32%
Market Price as at 31st March	LKR	52.00	84.30	-38.32%
Price Earnings Ratio (P/E)	No. Times	3.57	9.86	-63.79%
No. Shares	Nos.	5,110,560	5,110,560	0.00%
Net Assets per Share	LKR	264.09	230.75	14.45%

Financial Calendar

1 st Quarter Results 2018/2019	15 th August 2018
Annual Report 2017/2018	23 rd August 2018
36 th Annual General Meeting	20 th September 2018
2 nd Quarter Results 2018/2019	15 th November 2018
3 rd Quarter Results 2018/2019	14 th February 2019
4 th Quarter Results 2018/2019	28 th May 2019
37 th Annual General Meeting	18 th September 2019

On behalf of the Board of Directors, I warmly welcome our shareholders to the 37th annual general meeting of Abans Electricals PLC. It is my pleasure to present to you the annual report and financial statements of the Company for the year ending 31st March 2019.

The financial year 2018-19 is a landmark year for the Abans Group as it is Abans PLC's 50th anniversary, demonstrating the strength and longevity of the Abans brand. As a member of the Abans family, Abans Electricals partnered Abans PLC during the year for a memorable golden anniversary celebration. The contribution made by Abans Electricals towards commemorating the unique journey of the Abans brand was recognized and highly appreciated by the Abans Group. It is expected that Abans Electricals will continue to be a significant contributor to the Abans Group in the future as well.

Abans Electricals PLC, is one of the most reputed local establishments in the business of manufacturing, assembling and supplying washing machines and refrigerators to the local market. The Company is also committed to providing high quality and efficient after sales services for a broad range of appliances and electronic items retailed at the Abans' showrooms across the island. As a responsible organization, our goal is to contribute towards improving the quality of life of our customers through the provision of outstanding products and services. Our continuous efforts towards developing new products and services, quality improvements to existing products and the provision of exceptional after sale services, have all been designed to increase customer satisfaction in line with this objective.

Financial Performance

The year under review was a challenging one for the Company and the industry as a whole. A tight monetary environment, currency depreciation, temporary restrictions on importing non-essential goods, weather related disruptions, political instability and weak consumer demand, were notable aspects of the challenging macro environment that prevailed during the year.

Despite the overall unfavorable business environment, I am pleased to note that Abans Electricals had an outstanding year, recording a profit of LKR 74.3 Million, which is a profit growth of 70% against the previous financial year. The increase in profitability is more significant as it has been achieved in spite of a revenue decline of 17.8% year-on-year, to LKR 2.87 Billion. This remarkable performance of the bottom line is attributable primarily to strategies adopted towards improving operational efficiencies, while successfully tapping into new revenue sources in existing business segments. Reviewing the financial results against the prevailing business conditions, the Board of Directors is pleased with the current outcome of these strategies. The Board will continue to closely monitor market and economic trends and will adopt new strategies to sustain the performance of the Company in the new financial year.

Another significant decision during the year, was to investment in the backward integration of the Company's manufacturing process, while continuing to focus on improving operational efficiencies. A majority of these

investments were directed towards increasing and strengthening local value addition capabilities and quality improvement of products and services. This will enable Abans Electricals to enhance its competitiveness in the local market. In addition to its core operations, the Company continued to expand its presence in the emerging solar power sector in the country, which can be expected to generate new opportunities in the future.



Outlook and Plans

The Board of Directors is greatly saddened by the recent attacks on Easter Sunday. We believe the aftermath of this terrible event will continue to negatively impact the overall economy and business activities in the new financial year. Whilst this uncertain environment has the potential to challenge our results in the immediate future, the management is taking all possible steps to continue the upward momentum achieved in the current financial year and report a positive performance in the new financial year.

As we conclude an exceptionally difficult year on a high note, on behalf of the Board of Directors of Abans Electricals, I would like to extend our appreciations to our stakeholders for the trust and confidence placed in the Company. I would also like to thank the management team and the staff of Abans Electricals for their tireless efforts and dedication in ensuring the continued success and growth of the Company. Finally, I would like to extend my thanks to my fellow Board members for assisting the Company to successfully navigate the challenges of the financial year 2018-19. I look forward to meeting any new challenges with equal resoluteness, in the new financial year.

Aban Pestonjee
Chairperson

Sri Lankan Economy

Global and domestic disturbances had a negative influence over the Sri Lankan economy in 2018, which resulted in modest growth in real economic activities in spite a low inflation environment that was maintained during the year. The real GDP recorded a growth of by 3.2% in 2018, which is a slight decrease compared to the 3.4% growth rate recorded in the previous year, primarily due to the slowdown in construction sector activities and political instability. The rate of inflation remained low in 2018, despite the upward revision in fuel prices and the sharp depreciation of the rupee against foreign currencies. The agriculture sector grew by 4.8% in 2018, compared to 0.4% in 2017, due to the favourable weather conditions that prevailed in the year. The industrial sector grew by 0.9%, which was a marginal growth compared to the 4.1% growth recorded in 2017. The service sector expanded by 4.7% in 2018, compared to the 3.6% growth recorded in 2017.

The External Sector

Both global and domestic factors contributed towards increased volatility of the external sector during the year. As a result of global financial conditions tightening, capital outflows from government securities and stock markets of emerging market economies such as Sri Lanka, had significant negative consequences. The political instability and downgrading of the country's sovereign rating in the fourth quarter, contributed towards further aggravating the situation. The increase in foreign loan capital and interest payments, coupled with import expenditure, caused the trade deficit of the country to widen during the year.

Rupee Depreciation

The year under review witnessed a sharp depreciation of the Sri Lankan rupee against major foreign currencies with the annual average exchange rate plunging to LKR 162.54 to the US dollar compared to the Rs 152.46 value in 2017. The large capital outflow due to global financial market conditions and the widening trade deficit were the main reasons for this depreciation. However, the government and the Central Bank have taken remedial action to ease the impact, such as increasing tariffs and imposing margin requirements to restrict imports of non-essential goods and temporary suspending vehicle imports under concessionary permits.

Inflation

The general price level of the country remained within a low single digit, while showing a declining trend during the year. The national consumer price index recorded an annual average of 2.1% in 2018 compared to 7.7% in the previous year. The favourable weather conditions meanwhile, had a positive impact on boosting food supplies and reducing prices, which contributed towards slowing down the rate of inflation. However, the sharp depreciation of the rupee and the upward revision of fuel prices led to price increases of non-food items towards the latter part of the year.

Interest Rates

During the year under review, the average prime lending rate increased from 11.55%, to 12.09%, and for the same period, the 03 month Treasury Bill rate increased from 7.69%, to 10.01%. Interest rates have a direct impact on consumer

spending patterns. As consumers tend to buy many higher end consumer goods on credit, higher interest rates make these purchases substantially more expensive.

Consumer Confidence

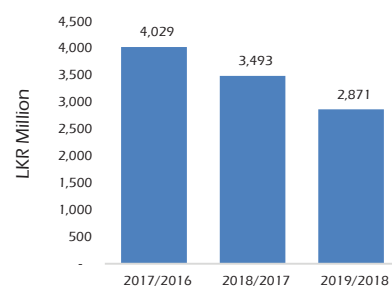
Consumer confidence is also an important factor that affects demand for consumer goods. Consumers are more likely to increase consumer goods purchases when they are confident about the overall economic conditions and about their personal financial future. During the first half of the year, consumer confidence was strong due to the recovery of the agriculture sector and low inflation. However, with the increase in fuel prices, tightening of monetary policy and slow economic growth, consumer confidence also deteriorated. Further, the deadly Easter bomb attack aggravated uncertainty and negative sentiments during the first quarter of the year.

Financial Capital

The following discussion and analysis should be read in concurrence with the audited financial statements of the Company, for the year ended 31st March 2019.

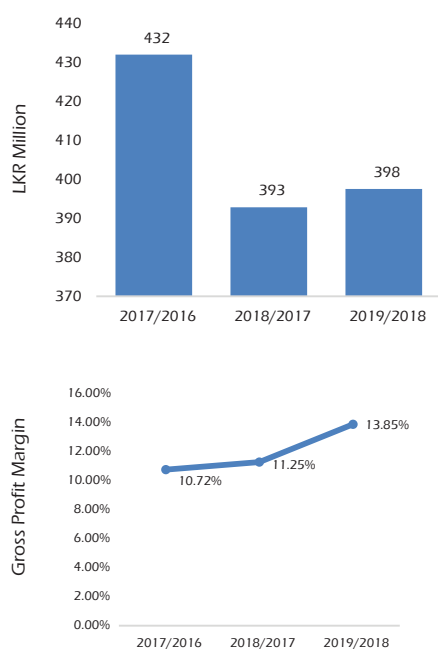
Revenue

The revenue for the financial year 2018/2019 declined by 17.81% compared to the financial year 2017/2018. The Company reported an LKR 2,870.56 Million revenue during the year under review, compared to LKR 3,492.57 Million in the previous year. The revenue generated from manufacturing activities decreased by 31.14% in 2018/2019, to 1,597.84 Million, from LKR 2,320.35 Million in 2017/2018. The adverse macro-economic conditions and competitive environment that prevailed in the market, were the primary causes of this decline. However, income from service achieved an 8.57% year-on-year growth to LKR 1,272.72 Million from LKR 1,172.22 Million.



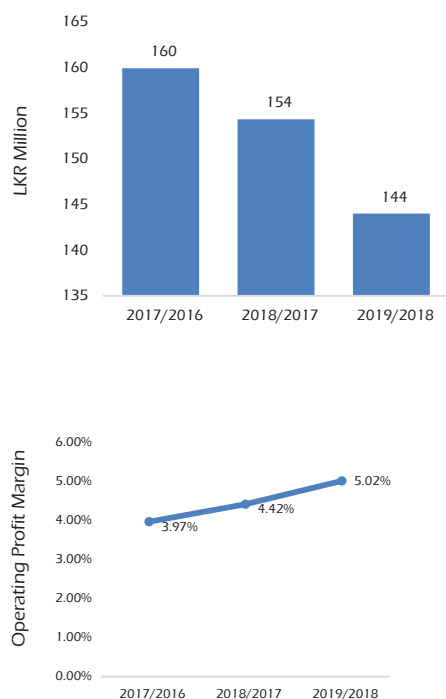
Gross Profit

The Company recorded a gross profit of LKR 397.55 Million in 2018/2019, compared to the LKR 392.85 Million reported in 2017/2018. Despite the decline in revenue during the year, the Company was able to improve its gross profitability to 13.85%, from 11.25%. Adverse macro-developments, such as currency devaluation and rising fuel prices, exerted continuous pressure on overall production costs. Nevertheless, the Company was able to overcome these challenges and improve the gross profit margin due to a strategic decision to set up a production facility to vertically backward integrate the production plastic components for washing machines. The Company's strong relationships with foreign and local suppliers, also contributed towards improving the gross profit margin by making it possible to negotiate favourable terms for material purchases.



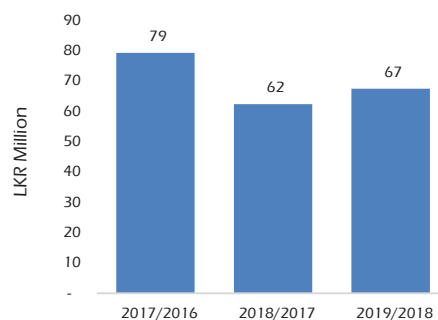
Operating Profits

The operating profits for the year declined by 6.70% year-on-year, to LKR 144.01 Million from LKR 154.36 Million. However, it is noteworthy that the operating profit margin has improved from 4.42% to 5.02%, demonstrating the efficiency improvements achieved during the year, despite the unfavourable operating environment.



Finance Cost

Increasing market interest rates and the interest cost from a new term loan facility, pushed up the finance cost by 8.09% against the previous year, reaching LKR 67.47 Million from LKR 62.42 Million.

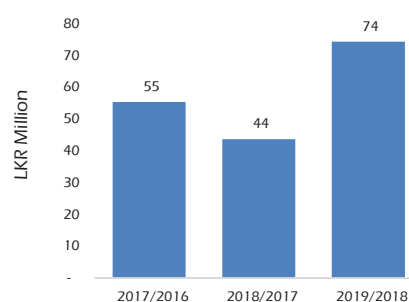


Taxation

The Income Tax expenditure of the Company for the financial year 2018/2019 came to LKR 23.22 Million, compared to LKR 47.66 Million the previous year. This decline is due to the decrease in taxable income in the year under review. The deferred tax reversal for the current year stood at LKR 21.01 Million. For further details on the Company's taxes, please refer Note 9, on page 44, in the financial statements.

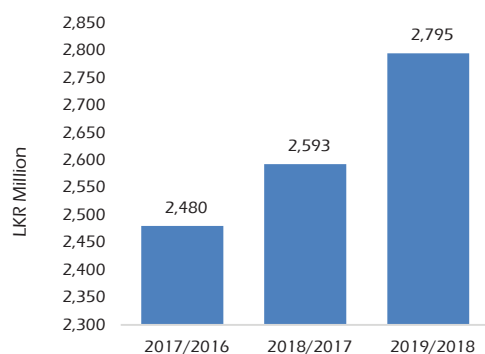
Profitability

The Company recorded a net profit of LKR 74.34 Million, which is an increase of 70.12% from LKR 43.70 Million in the previous year. Encouragingly, the Company was also able to improve the net profit margin from 1.25% to 2.59% during the year under review.



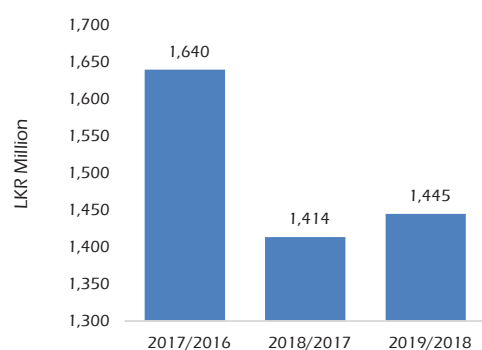
Total Assets

Total assets of the Company increased by 7.77%, to LKR 2,794.52 Million by the end of the FY 2018/2019, from LKR 2,593.00 Million as at 31 March 2018. Total non-current assets increased by LKR 391.52 Million, out of which property, plant, and equipment represented LKR 254.41 Million reflecting a new plant set up to manufacture washing machine plastic components, revaluation gains on land and buildings, LKR 47.5 Million Capital Work-in-Progress of Solar PV System and LKR 80.59 Million in the form of fixed deposits. Overall, the current assets of the company reduced by LKR 189.99 Million, for which expedited related party recovery and effective inventory ordering, contributed positively.



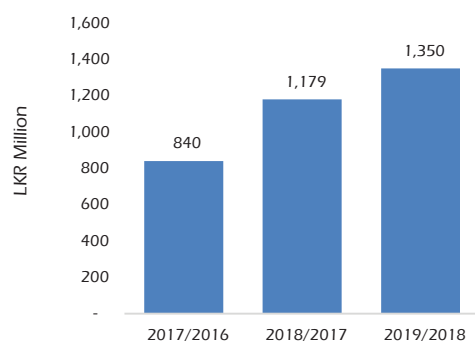
Total Liabilities

The Company's liabilities increased by 2.2%, to LKR 1,444.87 Million by 31 March 2019, from LKR 1,413.73 Million by 31 March 2018. Non-current liabilities increased by LKR 129.89 Million, which is a 51.45% increase compared to the previous year. The term loan facility obtained to set up the plant represents the main contributing factor for this Increase. Total current liabilities reduced by LKR 98.74 Million as at 31 March 2019 compared to the last year-end due to settlement of trade and other payables, and related party dues. However, part of this reduction was offset by a spike in short term borrowings primarily utilized for inventory and trade receivables.



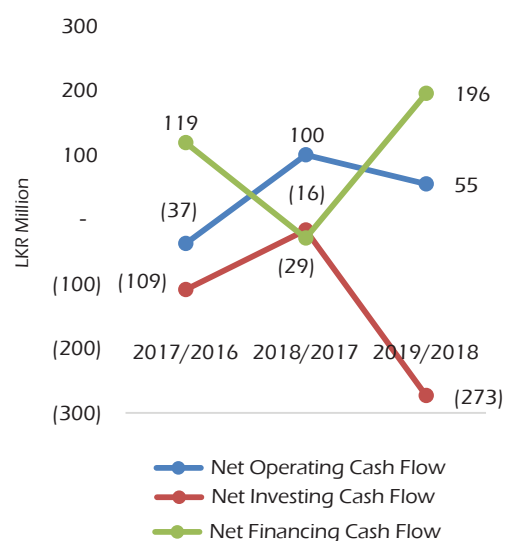
Equity

Total shareholders' funds grew by LKR 170.39 Million by the end of the year to LKR 1,349.65 Million, from LKR 1,179.26 Million, which is a 14.45% increase. The revaluation reserve increased by LKR 102.84 Million, while retained earnings increased by 67.55 Million.



Cash Flow

Cash generated from the Company operations before working capital changes, stood at LKR 101.30 Million, compared to LKR 138.32 Million in the previous year. Net cash generated from operating activities resulted in a positive cash generation. Net cash used in investment activities amounted to LKR 273.42 Million during the year, as against LKR 15.62 Million in the previous year. This includes a total of LKR 234.11 Million invested in acquisition of property, plant and equipment, as well as investments in fixed deposits, amounting to LKR 80.59 Million. Net cash generated from financing activities stood at LKR 195.78 Million, compared to LKR 29.05 Million in the previous year. Cash generated from financing activities was utilised to finance property, plant and equipment.



Manufactured Capital

The Company's primary business activity is manufacturing and assembling washing machines and refrigerators, and the provision of installation and after sales services for a broad range of appliances and electronics. The manufactured capital of the Company comprises buildings, plant, machinery, tools and equipment, which are vital for the Company's core activities and customer value creation. During the year under review, the Company invested LKR 234.1 Million in CAPEX, which includes a new investment to install an injection moulding facility to produce plastic components for the production of washing machines. This is part of the Company's backward integration strategy to enhance in-house value creation and cost efficiency.

Human Capital

The human capital of the Company is a critical asset, as well as an integral part of business operations. Abans Electricals is an equal opportunity employer and does not discriminate on gender, race or religion in attracting, promoting, or determining remuneration of employees. The Company HR policies and procedures are aligned with Abans Group policies and have been structured to ensure compliance with all regulatory requirements and industry best practices. The Company offers competitive remuneration to attract and retain talented employees and also emphasises employee training and development, talent management and career development. The labour grievance handling mechanism of the Company includes an open door policy, direct access to the heads of HR and respective divisional heads and the Chief Executive Officer. The Health and Safety Policy of the Company adopts a proactive approach to the management of health and safety practices, while ensuring adherence to all relevant health and safety regulations. As at the financial year end, our workforce comprised 869 employees working under contract, permanent and temporary positions.

Intellectual Capital

The Company recognises intellectual capital as one of the most important strategic assets of the organisation in the present competitive business environment. It enhances an organisation's ability to capitalise on its intellectual property, tacit knowledge, systems, processes and protocols. At Abans Electricals, the technical and process knowhow in relation to manufacturing and assembly, and customer service, and in depth knowledge of our product range, are recognised as vital components of our intellectual capital, which plays an important role in strengthening our financial capital to achieve truly sustainable earnings.

Natural Capital

As a Company with significant business interests in manufacturing and after sale services, we are mindful of the negative impacts our operations can have on the environment. As part of our daily business operations, we consume plastics, chemicals, rubber and steel and we also utilise natural resources, such as water and energy. Therefore, the Company has established policies and procedures on sustainable use of resources and environmental impact management, to enable and encourage resource efficient business operations. A key aspect of our sustainable business model is our environmental accreditations. Environmental

compliance certification is obtained on an annual basis, which enables the Company to identify and rectify any shortcomings, or deviations pertaining to environmental protection. Our business partners have also insisted on maintaining high standards in our manufacturing processes, to minimise negative environmental impacts. Periodic audits are conducted by concerned business partners, in order to verify our standard of compliance.

Social and Relationship Capital

Our social and relationship capital comprises all our stakeholders, including customers, suppliers and service providers, providers of financial capital, the government and the regulatory bodies. Our success is dependent on the support extended by all our stakeholders. Hence, we are committed to strengthening our relationships and we endeavour to deliver sustainable value creation.

The manufacturing division of the Company does not directly engage with end consumers of its products, as distribution and marketing services are provided by Abans PLC. However, the Company provides after sales services for products it manufactures and for a wide range of other home appliances marketed by Abans PLC. We endeavour to provide speedy and efficient after sales services, to maintain a high level of customer satisfaction, thereby strengthening our social capital base.

Our suppliers are essential to ensure uninterrupted business operations and to maintain the high quality standard associated with Abans products. Abans Electricals engages with a range of local and foreign suppliers to procure raw materials and services. During the year under review, excellent relationships were maintained with suppliers, which made it possible to receive preferential treatment in price negotiations and revision of credit periods.

Abans Electricals also conducts many community engagement activities every year to enhance brand image and support worthy causes. During the year, a number of public welfare activities were conducted, such as a blood donation campaign, a Poson dansala and other community-based donations that fostered better relationships among the communities we operate in.

We consider our employees a vital internal stakeholder of the Company. In order to strengthen relationships among staff members, during the current financial year, the Company organised a cricket tournament and annual get together, that provided opportunities to socialise, cooperate and have fun.

Board of Directors

Mrs. Aban Pestonjee – Chairperson

A resourceful and self-taught entrepreneur, Mrs. Aban Pestonjee exemplifies the Abans creed of “finding a need and fulfilling it.” Her passion, drive and courage, especially as a South Asian woman in a male dominated business world, have inspired successive generations of Sri Lankan business women. She has received local and international recognition for her achievements. These include the Award of Excellence for Women Achievers for Outstanding Achievements, presented by the SAARC Women’s Association, Sri Lanka Chapter and the bronze award, under the large business category at the Women Entrepreneur of the Year awards by the Women’s Chamber of Industry and Commerce, both in the year 2000. She was awarded the KOTRA Plaque of Appreciation in 2005 for forging strategic foreign economic ties between Korea and Sri Lanka. In 2006, Mrs. Pestonjee received international recognition as the Leading Woman Entrepreneur of the World award, presented by the Princess of Thailand.



Mrs. Pestonjee has been interviewed by The Harvard Business School on the subject of “Creating Emerging Markets.” The transcript of the interview is retained at the Harvard Business School’s Baker Library, among their historical collections, and is available to students for research and case studies.

Mrs. Pestonjee also holds directorships at Abans PLC, Abans Environmental Services (Pvt) Ltd, Abans Construction and Engineering (Pvt) Ltd, Abans Lanka (Pvt) Ltd, Abans Tours (Pvt) Ltd, Abans Tourist Hotels (Pvt) Ltd, ABS Gardner Dixon Hall International (Pvt) Ltd, Abans Investments (Pvt) Ltd, Add Outdoor (Pvt) Ltd, Abans Graphics (Pvt) Ltd, Abans Marketing (Pvt) Ltd, Abans Consolidated (Pvt) Ltd, Abans Warehousing (Pvt) Ltd, Crown City Developers (Pvt) Ltd, AB Technologies (Pvt) Ltd, Abans Development (Pvt) Ltd, Abans Auto (Pvt) Ltd, Abans Office Automation (Pvt) Ltd, Abans Engineering (Pvt) Ltd and Colombo City Centre Partners (Pvt) Ltd.

Mr. Behman Pestonjee - Director

Qualified as a Marine Engineer, Class 1 (D.O.T. London), Mr Behman Pestonjee has been involved with Abans PLC since its inception and has been instrumental in building the business. His dynamic leadership of the operations division has been a key driver of success. He oversees most of the critical functions of the organisation including sourcing, marketing and sales and manages important business partnerships. Under his able supervision, the Abans retail network has expanded from a single store to over 400 stores. He is an inspiring leader with a unique management style based on pragmatism and execution.



Mr. Behman Pestonjee holds directorships at Abans PLC, Abans Environmental Services (Pvt) Ltd, Abans Construction and Engineering (Pvt) Ltd, Abans Lanka (Pvt) Ltd, ABS Gardner Dixon Hall International (Pvt) Ltd, Abans Investments (Pvt) Ltd, Add Outdoor (Pvt) Ltd, Abans Restaurant Systems (Pvt) Ltd, Absgro (Pvt) Ltd, Abans Graphics (Pvt) Ltd, Abans Marketing (Pvt) Ltd, AB Leisure (Pvt) Ltd, Abans Consolidated (Pvt) Ltd, Abans Retail (Pvt) Ltd, Colombo City Centre Partners (Pvt) Ltd, Crown City Developers (Pvt) Ltd, Sirius Technologies (Pvt) Ltd, Abans Exports (Pvt) Ltd, Abans Development (Pvt) Ltd, Abans Auto (Pvt) Ltd, Abans Office Automation (Pvt) Ltd and Abans Engineering (Pvt) Ltd.

Mr. Athula Siriwardane - Director

Mr Siriwardane was proposed and appointed as a Director of Abans Electricals PLC on 28th September 2016.

Due to his long years of experience and good relationships with state institutions, Mr Siriwardane is a key Company liaison with the Ministry of Finance, the Ministry of Industries and other relevant authorities. He is an expert on import clearance procedures and, cost controls, and ensures timely delivery of final products. He also contributes to the Company as a strong leader and dedicated Board member.



Board of Directors



Mrs. D. Priyanthi Pieris - Independent Non - Executive Director

Mrs. Pieris was appointed to the Board in March 2009. She is an Attorney-at-Law of the Supreme Court of Sri Lanka and has over 38 years of experience in corporate and financial law. She is also a solicitor of England & Wales. She is currently engaged in private practice.

She served on the boards of Forbes & Walker Ltd., Forbes Ceylon Ltd., Forbes Stock Brokers Ltd, Forbes Air Services Ltd. (general sales agent for Emirates), Vanik Corporate Services Ltd., Office Network (Pvt) Ltd., Capital Reach (Holdings) Ltd. and Associated Motorways Ltd. She currently serves on the boards of Associated Electrical Corporation Ltd, Asia Asset Finance PLC, Lanka Orix Finance PLC, PW Corporate Secretarial (Pvt) Ltd, and MTN Corporate Consultants (Pvt) Ltd. She served as a legal adviser to the Ministry of Finance from 2002 - 2004 and as a legal consultant to the Colombo Stock Exchange from 2004 - 2011. She was also a member of the committees set up by the SEC to recommend amendments to the Takeovers & Mergers Code 1995 (as amended) and was a member of the committee appointed to recommend amendments to the Rules for Corporate Governance.



Mr. Dinal Mario Rex Phillips - Independent Non - Executive Director

Appointed to the Board in February 2018, Mr Phillips is a specialist in the field of intellectual property, commercial arbitration, company law litigation and sports law and is a regular practitioner in the Commercial High Court, which was established purely for commercial law disputes. In addition, he engages in injunctions, bank recovery issues, insurance claims, family and labour law matters. With over 30 years of experience in the field of Law, he is a board member of the NDB Bank PLC and Gestetner of Ceylon Ltd. He was a member of the National Intellectual Property Advisory Commission for 12 years, and was elected Chairman twice.



Mr. Kumar De Silva - Independent Non - Executive Director

Appointed to the Board in February 2018, Mr De Silva has over 30 years of experience in the field of management. He is an associate member of the Chartered Institute of Marketing, UK, a member of the Sri Lanka Institute of Marketing and holds a Diploma in Marketing from the Chartered Institute of Marketing, UK. Further, Mr. De Silva is a fellow member of the Chartered Institute of Management Accountants, UK, the Institute of Global Chartered Management Accountants, UK and the Chartered Institute of Logistics and Transport, UK. In addition, he is the Chairman of the Sri Lanka Convention Bureau under the Ministry of Tourism, Sri Lanka.

Abans Electricals PLC has in place a robust corporate governance framework based on regulatory guidelines and industry best practices, to ensure maximum protection for shareholder assets, while taking into consideration the different interests of other stakeholder groups. Built on the core principles of accountability and transparency, the corporate governance structure of the Company is designed to provide strategic direction and ensure adequate controls to maintain efficiency and growth, while enhancing investor confidence. The objective is to ensure long term sustainable growth of the Company to create value for all stakeholders.

Compliance status of Abans Electricals PLC is pleased to state that it is fully compliant with all mandatory provisions of the Companies Act No. 7 of 2007 and the Listing Rules of the Colombo Stock Exchange (CSE). The Company has also given due consideration to the Code of Best Practice on Corporate Governance, jointly advocated by the SEC and the Institute of Chartered Accountants of Sri Lanka (ICASL), wherever applicable.

The Company's corporate governance framework comprises the following three key elements;

1. Internal Governance Structure
2. External Governance Structure
3. Assurance

Internal Governance Structure

The internal governance structure comprises the Board of Directors, Board and management committees, systems and processes, which create a good governance culture and ensures sustainability of the organization.

The Board of Directors

The Board of Directors set the strategic objectives of Abans Electricals PLC and review the detailed action plans formulated by the management personnel to achieve those objectives. The Board also monitors compliance with applicable regulations and policies and actual performance against set objectives, through regular dialogue with management personnel.

Composition and Balance

The Board consists of six Directors, including three Independent Non - Executive Directors.

Brief profiles of the Board Members are given in pages 9 and 10 of this Annual Report

Responsibilities and Duties

The members of the Board are collectively and individually responsible to comply with laws of the Democratic Socialist Republic of Sri Lanka and to implement business strategies, internal controls, risk management, corporate decisions, financial reporting and other imperative issues, as necessary.

Directors bring individual and collective judgments, and also obtain internal and external professional consultancy, for matters relating to corporate issues, strategies, performance, setting up standards and managing and safeguarding resources.

Chairperson and the Chief Executive Officer (CEO)

The Chairperson is responsible for leading the Board and is the ultimate point of contact for shareholders, particularly on matters relating to corporate governance.

Two Chief Executive Officers (CEO) are assigned to control, and separately report to the Board, on operational aspects, under two divisions, which are the Manufacturing Department and Service Department. The CEOs are responsible to execute strategies and policies of the Board. The CEOs also guide and supervise the senior management to ensure that the operating model of the Company is aligned with short term and long term strategies.

Appointments / Re-Election

The Board as a whole represents the Nomination Committee and decides on the selection criteria and appointments to the Board. The evaluation criteria are set based on the goals and objectives of the Company and suitable and capable persons who can contribute to the Company are selected.

Procedures specified in the Articles of Association are mandatory for the retirement and re-election of Directors.

Meetings

During the financial year, there were four Board meetings. Attendance at the Board meetings held during the financial year 2018/2019 is given below.

Name	Eligibility to Attend	Attended
Mrs. Aban Pestonjee	4	Nil
Mr. Behman Pestonjee	4	4
Mr. Athula Siriwardena	4	3
Mrs. Priyanthi Pieris	4	1
Mr. Kumar Se Silva	4	4
Mr. D M R Phillips	4	4

Secretaries

Varners International (Pvt) Ltd., have been appointed as the Company Secretaries, to ensure the adherence to rules and regulations and to administer Board proceedings minutes, agendas and papers required for Board meetings.

Directors' Remuneration

With the recommendations of the Remuneration Committee, the Company has established a formal and transparent policy to determine remuneration packages for each Director to attract motivate and retain the best quality of leadership.

The remuneration and other benefits of the Board of Directors are set out in Note No. 8 to the financial statements.

Appraisal of the Board

The Board itself, headed by the Chairperson, evaluates performance giving due regard to the external and internal environment to measure the degree of success, or the failure, in achieving goals and objectives assigned to Board members individually and collectively.

Financial Acumen

A member representing a recognised professional accounting body served on the Board as an Independent Non-Executive Director and was involved in matters relating to finance. External consultants were retained whenever necessary.

Relation with Shareholders / Investors

The Directors are fully cognisant of the importance of shareholders in the context of good corporate governance, transparency and accountability. Therefore, the Board of Directors have ensured that shareholders have equal access to information and have ensured adequate and timely disclosure of all material information pertaining to the Company.

Board Sub Committees

The Board has delegated certain functions to Board Sub-Committees. Members of these Sub-Committees are primarily Independent Non-Executive Directors. The three Board Sub-Committees are as follows;

- i. Audit Committee
- ii. Remuneration Committee
- iii. Related Party Transactions Review Committee

Composition of Board Sub Committees

	Audit Committee	Remuneration Committee	Related Party Transactions Review Committee
Executive Directors			
Mrs. Aban Pestonjee			
Mr. Behman Pestonjee			M
Mr. Athula Siriwardena			
Independent Non-Executive Directors			
Mrs. Priyanthi Pieris	M		C/M
Mr. Kamar De Silva	C/M	C/M	M
Mr. D. M. R. Phillips	M	M	

C – Chairman

M – Member

External Governance Structure

The external governance structure of Abans Electricals PLC comprises the laws, regulations and best practices that enable the Company to operate within a sound corporate governance framework. During the financial year under review, the Company has fully complied with all mandatory rules and regulations applicable to Abans Electricals PLC as stipulated by the Companies Act No. 07 of 2007 and the Listing Rules published by the Colombo Stock Exchange. A detailed compliance report is set out below.

Statement of Compliance under Section 7.6 of the Listing Rules of the Colombo Stock Exchange (CSE) on Annual Report Disclosure

Rule	Governance Requirement	Compliance Status	Reference/ Comment
i	Names of persons who were Directors of the Entity	Yes	Refer pages no. 9 - 10
ii	Principal activities of the entity and its subsidiaries during the year, and any changes therein	Yes	Refer page no. 23
iii	The names and the number of shares held by the 20 largest holders of voting and non-voting shares and the percentage of such shares held	Yes	Refer page no. 62
iv	The float adjusted market capitalisation, public holding percentage (%), number of public shareholders and under which option the Listed Entity complies with the Minimum Public Holding requirement	Yes	Refer page no. 61
v	A statement of each Director's holding and Chief Executive Officer's holding in shares of the Entity at the beginning and end of each financial year	Yes	Refer page no. 24
vi	Information pertaining to material foreseeable risk factors of the Entity	Yes	Refer pages no. 20 -21
vii	Details of material issues pertaining to employees and industrial relations of the Entity	Yes	There are no material issue pertaining to employees and industrial relations
viii	Extents, locations, valuations and the number of buildings of the Entity's land holdings and investment properties	Yes	Refer page no. 23
ix	Number of shares representing the Entity's stated capital	Yes	Refer page no. 61
x	A distribution schedule of the number of holders in each class of equity securities, and the percentage of their total holdings	Yes	Refer page no. 61
xi	Financial ratios and market price information	Yes	Refer pages no. 3 & 61
xii	Significant changes in the Company's or its subsidiaries' fixed assets, and the market value of land, if the value differs substantially from the book value as at the end of the year	Yes	Refer Note 12 on pages no 45 - 48
xiii	Details of funds raised through a public issue, rights issue and a private placement during the year	Yes	There were no fund aising activities carried out to increase the stated capital
xiv	Information in respect of Employee Share Ownership or Stock Option Schemes	Yes	There is no Employee or Purchase Scheme Share Option Scheme,
xv	Disclosures pertaining to Corporate Governance practices in terms of Rules 7.10.3, 7.10.5 c. and 7.10.6 c. of Section 7 of the Listing Rules	Yes	Refer page no. 14
xvi	Related Party transactions exceeding 10 per cent of the equity or 5 per cent of the total assets of the Entity as per audited financial statements, whichever is lower	Yes	Refer page no. 55

Statement of Compliance under Section 7.10 of the Listing Rules of the CSE on Corporate Governance

Rule	Governance Requirement	Compliance Status	Reference/ Comment
7.10.1	Non-Executive Directors (NED)		
a/b/c	At least 2 members or 1/3 of the Board, whichever is higher should be NEDs	Yes	Three out of six Board members are NEDs
7.10.2	Independent Directors		
a	2 or 1/3 of NEDs, whichever is higher shall be "independent"	Yes	All NED are independent
b	Each NED to submit a signed and dated declaration of his/her independence or non-independence	Yes	NEDs have submitted signed confirmation of their independence.
7.10.3	Disclosures Relating to Directors		
a/b	Board shall annually determine the independence or otherwise of NEDs	Yes	The Board has determined that criteria for independence is met for NEDs
c	A brief resume of each Director should be included in the annual report including the Directors' experience	Yes	Refer pages no. 9 - 10
d	Provide a resume of new Directors appointed to the Board along with details	Yes	There was no appointments to the Board, during the year under review.
7.10.4	Criteria for Defining Independence		
a to h	Requirements for meeting the criteria to be an Independent Director	Yes	Refer Pager No. 11
7.10.5	Remuneration Committee (RC)		
a.1	Remuneration Committee shall comprise of NEDs, a majority of whom will be independent	Yes	Refer page no. 18
a.2	One NED shall be appointed as Chairman of the Committee by the Board of Directors	Yes	Refer page no. 18
b	Remuneration Committee shall recommend the remuneration of the CEO and the Executive Directors	Yes	Refer page no. 18
c.1	Names of Remuneration Committee members	Yes	Refer page no. 18
c.2	Statement of Remuneration policy	Yes	Refer page no. 18
c.3	Aggregate remuneration paid to EDs and NEDs	Yes	Refer Note 08 on page no. 43
7.10.6	Audit Committee (AC)		
a.1	Audit Committee (AC) shall comprise of NEDs, a majority of whom should be independent	Yes	Refer page no. 17

a.2	A NED shall be the Chairman of the committee	Yes	Refer page no. 17
a.3	CEO and CFO should attend AC meetings	Yes	Refer page no. 17
a.4	The Chairman of the AC or one member should be a member of a recognized professional accounting body	Yes	Refer page no. 17
b	Functions of the AC	Yes	Refer page no. 17
b.1	Overseeing of the preparation, presentation and adequacy of disclosures in the financial statements in accordance with SLFRS/LKAS	Yes	Refer page no. 17
b.2	Overseeing the compliance with financial reporting requirements, information requirements as per laws and regulations	Yes	Refer page no. 17
b.3	Overseeing the process to ensure the internal and risk management controls, are adequate, to meet the requirements of the SLFRS/LKAS	Yes	Refer page no. 17
b.4	Assessment of the independence and performance of the Entity's External Auditors	Yes	Refer page no. 17
b.5	Make recommendations to the Board pertaining to External Auditors	Yes	Refer page no. 17
c.1	Names of the Audit Committee members shall be disclosed	Yes	Refer page no. 17
c.2	Audit Committee shall make a determination of the independence of the External Auditors	Yes	Refer page no. 17
c.3	Report on the manner in which Audit Committee carried out its functions.	Yes	Refer page no. 17

Statement of Compliance under Section 9.3.2 of the Listing Rules of the CSE on Corporate Governance

Rule	Governance Requirement	Compliance Status	Reference/ AEL Comment
a	Details pertaining to Non-Recurrent Related Party Transactions	Yes	Refer page no. 55
b	Details pertaining to Recurrent Related Party Transactions	Yes	Refer page no. 55
c	Report of the Related Party Transactions Review Committee	Yes	Refer page no. 19
d	Declaration by the Board of Directors as an affirmative statement of compliance with the rules pertaining to RPT, or a negative statement otherwise	Yes	Refer page no. 24

Statement of Compliance pertaining to Companies Act No. 7 of 2007

Rule	Governance Requirement	Compliance Status	Reference/ AEL Comment
168 (1) (a)	The nature of the business together with any change thereof	Yes	Refer item 1.2 on page no. 34
168 (1) (b)	Signed financial statements of the Group and the Company	Yes	Refer pages no. 30 - 60
168 (1) (c)	Auditors' Report on financial statements	Yes	Refer pages no. 27 - 29
168 (1) (d)	Accounting policies and any changes therein	Yes	Refer pages no. 34 - 42
168 (1) (e)	Particulars of the entries made in the Interests Register	Yes	Refer page no. 25
168 (1) (f)	Remuneration and other benefits paid to Directors of the Company	Yes	Refer Note 08 on page no. 43
168 (1) (g)	Corporate donations made by the Company	Yes	Refer Note 08 on page no. 43
168 (1) (h)	Information on the Directorate of the Company and its subsidiaries during and at the end of the accounting period	Yes	Refer page no. 24
168 (1) (i)	Amounts paid/payable to the External Auditor as audit fees and fees for other services rendered	Yes	Refer Note 08 on page no. 43
168 (1) (j)	Auditors' relationship or any interest with the Company audits Subsidiaries	Yes	Refer page no. 17
168 (1) (k)	Acknowledgement of the contents of this Report and signatures on behalf of the Board	Yes	Refer page no. 31

Assurance

Corporate Governance assurance at Abans Electricals PLC is upheld by the Group Internal Audit Division and the External Auditors of the Company.

Internal Audit

The Group Internal Audit Division focuses on providing independent supervision to the Audit Committee on the processes and controls within the Company and the level of compliance with laws and regulations. Internal Audit also carried out a comprehensive annual audit plan to cover both operational and financial aspects of the Company. The audit highlighted any deviations from the existing system and propose corrective actions, whenever necessary.

External Audit

The External Audit Report enables the Board to determine the adequacy and effectiveness of the Company's internal controls, which is an essential component of the sound Corporate Governance mechanism. Messrs. SJMS Associates Chartered Accountants, were the external auditors of Abans Electricals PLC and were responsible for auditing the financial statements the Company.

Role of the Committee

The Audit Committee has written terms of reference, which are established for the purpose of assisting the Board fulfil its responsibilities in relation to the integrity of the financial statements, risk management, internal controls, compliance with legal and regulatory requirements, reviewing the external auditor's performance and internal audit functions.

The Audit Committee is empowered to examine any matters relating to the financial affairs of the Company and to review the accuracy, quality, transparency and integrity of quarterly and annual financial statements, review the adequacy of the Company's internal controls framework and effectiveness of established internal control procedures and the annual audit engagements. The Committee reviews the Company's risk management mechanism and adequacy of steps taken to monitor, control and mitigate possible risks. Another duty of the Committee is, to ensure compliance with accounting standards, accounting policies, statutory laws and regulations and make recommendations on the appointment, re-appointment and removal of the external auditors.

The Audit Committee is empowered to review and monitor the financial reporting process and provide added reliability and assurance on the financial statements through an independent and objective assessment. The Audit Committee assists the Board of Directors to discharge its responsibilities on ensuring the quality of financial reporting and information disclosed to shareholders and the public.

Composition of the Committee and Meetings
The Audit Committee consists of three Independent Non-Executive Directors, Mr. Kumar De Silva, Chairman, Mrs. Priyanthi D Peiris and Mr. D. M. R. Phillips. M/S Varners International (Pvt) Ltd served as the Secretary to the Audit Committee. The Audit Committee held four meetings during the financial year under review. The other Directors, Group CEO, Group CFO, CEOs and Finance Heads of two departments (Manufacturing and Service) and the Internal Auditors, attended these meetings. The External Auditors attended these meeting by invitation.

The activities and views of the Committee have been communicated to the Board of Directors quarterly, through verbal briefings, and by tabling the minutes of the Audit Committee meetings.

The attendance at the Audit Committee meetings held during the financial year 2018/2019 is given below.

Name	Eligibility to Attend	Attended
Mr. Kumar De Silva	4	4
Mr. D M R Phillips	4	4
Mrs. Priyanthi Pieris	4	2

Financial Reporting

The Audit Committee reviewed and discussed the Company's quarterly and annual financial statements prior to their publication with the other Directors, management and internal auditors, with regards to their compliance with the Sri Lanka Accounting

Standards, Companies Act no 7 of 2007, and regulatory and other statutory requirements of the Securities Exchange Commission. The financial statements have been presented in compliance with the new Sri Lanka Accounting Standards (SLFRS/LKAS) for the financial period, including the comparative financial statements.

The Audit Committee has worked objectively to safeguard the best interests of the stakeholders.

Internal Audit, Risk Management and Internal Controls

The Audit Committee reviewed the internal audit reports presented by the internal auditors, which covers each business unit of the Company. The summary audit reports were presented, along with internal audit investigations and findings made by the department, for the period under review.

The Committee reviewed the effectiveness and adequacy of internal control systems and the Company's outlook, against the business exposure and financial risks. In the preparation and presentation of financial statements the Committee ensured that the financial reporting system can be depended on, under the existing processes, to safeguard the assets of the Company.

The Committee provided advice and guidance to the Board to mitigate risks associated with new Free Trade Agreements and consequent tariff changes, shift in market share with new entrants and the need for product diversification along with exposure to exchange and interest rate fluctuations and the associated business risks to the Company. The debtor and creditor policies, cash and working capital adequacy were reviewed as an integral part of the financial risk.

External Auditors

The letter of engagement issued by the external auditors was reviewed and discussed by the Audit Committee with the external auditors and the management, prior to commencing the audit. This covers the scope of the audit, audit plan, time line and any special area to be emphasised during the audit. Prior to issuing the final audit opinion and the report, external auditors met the Audit Committee and highlighted key audit areas and obtained their feedback.

The Audit Report and the Management Letter issued by the External Auditors were reviewed and assessed as to material impacts, so as to represent a true and fair view of the financial statements. The Committee is satisfied that the independence of the external auditors has not been impaired by any event or service that gives rise to a conflict of interest. The Audit Committee recommends to the Board of Directors that M/S SJMS Associates be reappointed as auditors for the financial year ending 31st March 2020, subject to shareholder approval at the Annual General Meeting.

Conclusion

The evaluation of reports is based on independent judgement and the Committee is satisfied about the operation of business activities, actions in place, control procedures, reporting requirements, safeguards afforded to Company assets and financial reporting of the Company.

Kumar De Silva
Chairman-Audit Committee

The primary role of the Remuneration Committee is to approve appropriate remuneration in a formal and transparent manner, to retain and motivate suitably qualified Executive Directors and Key Management Personal.

Composition

The Remuneration Committee is appointed by the Board of Directors and comprises two Independent Non-Executive Directors. The Committee is headed by the Committee Chairman, Mr. Kumar De Silva, and Mr. D. M. R. Phillips served as a Committee member.

Policy

The remuneration policy of Abans Electricals PLC is designed to attract, motivate and retain staff with appropriate professional, managerial and operational expertise, to achieve the goals and objectives of the Company.

Scope

The principal responsibility of the Remuneration Committee is to recommend to the Board a competitive remuneration and reward structure for the organisation, which includes performance based incentives. The Committee will specifically focus on remuneration packages for executive staff and senior management. Such a system is based upon every member of the staff being informed regarding the key result areas on which he/she will be judged, together with an objective performance evaluation system.

Meetings

During the financial year under review, the Committee held two meetings. At these meetings, the staff performance appraisal system and its procedures, the performance bonus and its quantum, remuneration and other benefits of executive and senior management were discussed and their recommendations were submitted to the Board.

The attendance at the Remuneration Committee meetings held during the financial year 2018/2019 is given below.

Name	Eligibility to Attend	Attended
Mr. Kumar Se Silva	2	2
Mr. D M R Phillips	2	2

Conclusion

The Committee assessment is that the present remuneration for Directors is fair and reasonable.

Kumar De Silva

Chairman - Remuneration Committee

The objective of the Committee is to assist the Board in reviewing all related party transactions by adopting relevant policies and procedures to ensure such transactions are in compliance with required rules and regulations.

Policies and Procedures

The Company has in place a Related Party Transactions Policy, whereby the categories of persons/entities who shall be considered as "Related Parties" have been identified.

Purpose of the Committee

The purpose of the Committee is to conduct an independent review, provide approval and oversight for all related party transactions of Abans Electricals PLC, and ensure that the Company complies with the Code on Related Party Transactions issued by Securities and Exchange Commission of Sri Lanka (SEC) and the Listing Rules of the Colombo Stock Exchange (CSE), pertaining to related party transactions. Its primary objectives are to ensure that the interest of the shareholders as a whole are taken in to account when entering in to related party transactions, and to prevent Directors, Key Management Personal, or substantial shareholders from taking advantage of their positions.

Compositions of the Committee

During the year under review, the Related Party Transactions Review Committee consisted of Two Independent Non-Executive Directors; the Committee Chairman, Mrs. Priyanthi D Peiris, Mr. Kumar De Silva, and Mr. Behman Pestonjee. Varners International (Private) Limited, the Company Secretaries, functioned as the Secretaries to the Committee.

Meetings

The Related Party Transactions Committee met four (04) times during the year under review. Attendance by Committee members were as follows;

Name	Eligibility to Attend	Attended
Mrs. Priyanthi Pieris	4	2
Mr. Kumar Se Silva	4	4
Mr. Behman Pestonjee	4	4

Review of Related Party Transactions

The Committee at their meetings, reviewed possible related party transactions for the year 2018/2019.

It was observed that related party transactions conducted during the year were recurrent in nature and necessary for the day-to-day operations of the Company. According to the opinion of the Committee, these transactions were not on terms more favourable to the related party than those generally available to the public.

With respect to sales, almost 100% of the items manufactured and assembled by the Company were sold to Abans PLC and this transaction was recurrent in nature and necessary for the day-to-day operations of

the Company. It was noted that the total sale price offered was adjusted based on negotiations between the two parties, and also took in to account the arrangement between the parties, whereby Abans PLC has guaranteed the purchase of 100% of the products manufactured and assembled by the Company. For this purpose, a deposit of Abans PLC is held by the Company.

The minutes of the Committee meetings were documented and tabled at Board meetings, for review.

Scope of the Committee:

- To manage relationships with related parties to uphold good governance and the best interests of the Company
- To provide an independent review, approval and oversight of related party transactions (except those expressly exempted by the Rules)
- To determine whether related party transactions that are to be entered in to by the Company require Board approval, or approval from shareholders of the Company.
- To establish guidelines in respect of recurrent Related Party Transactions, for senior management to follow in its ongoing dealings with the relevant related party.
- To ensure that no Director of the Company shall participate in any discussion of a proposed related party transaction for which he or she is a related party, unless such Director is requested to do so by the Committee, for the express purpose of providing information concerning the related party transaction to the Committee.
- To ensure that immediate market disclosure and disclosure in the annual report as required by the Rules, are made in a timely and detailed manner.

Declaration

A declaration by the Board of Directors on compliance with the Rules pertaining to related party transactions is included in the Report of the Board of Directors on page 24 of this annual report.

Mrs. Priyanthi Pieris

Chairperson - Related Party Transactions Review Committee

Enterprise Risk Management (ERM) is the process of understanding and managing risks faced by a corporate entity in its strategic route to achieving its objectives. It is essential to identify risks at their initial stages, as some risks are more harmful, while some risks are manageable. Risk management is an integral component of the overall corporate governance framework and is a continuously evolving and developing process. A sound risk management mechanism helps the Company to maintain sustainable growth and enhance value creation for all its stakeholders.

Change is a constant that all businesses deal with and the Company has to set up a formal process and allocated resources to identify, measure, monitor and manage risks that may impact the performance of the Company in the short, medium and long term. The risk management process provides vital information to support strategic planning and decision making on various matters presented before the Board of Directors. The Board of Directors holds the ultimate responsibility for ensuring that risks are identified and managed appropriately, whilst complying with regulatory requirements. The Board is supported by the Audit Committee in this regard. Apart from that, adequate internal controls are established to ensure that the Company policies are observed when implementing risk management processes.

The risk management policy is approved by the Board and is updated and reviewed regularly to reflect changes in economic and market conditions. It details the processes, procedures and guidelines in place to identify, monitor and mitigate the Company's risk exposure. Regular training and awareness programmes are conducted to instil a risk ownership culture within the organisation by facilitating a clear understanding among employees of their individual roles and responsibilities in relation to risk management. This varies from understanding of complex strategic risks at senior management level, to an understanding of health and safety aspects at factory level.

The risks that the Company is exposed to, and the risk mitigation actions that are in place, are detailed below.

Macro-Economic and Political Environment

Lack of clarity and prevailing inconsistencies in national policies, and the volatility of the economic environment, have negatively impacted Company performance during the year. Further, political tensions, civil unrest and terrorist activities have aggravated the already depressed business environment. The Company closely monitors such developments and adapts business strategies in line with external developments. Continuous dialogue is maintained between the Board of Directors and senior management to identify potential risks and actions to address such risks, to mitigate negative impacts on the Company.

	FY 2017/2018	FY 2018/2019
Risk Rating	Moderate	Moderate

Enterprise Risk Management

Regulatory Environment

During the current financial year, the Company was faced with unfavourable and unexpected changes in Government policies and regulations, that constrained potential revenues. The imposition of a 100% cash margin on certain consumer durable goods and changes to the Excise Duty structure, had a negative impact on Company operations. However, the Board of Directors and senior management maintained an ongoing dialogue with key government institutions, various industry associations and industry chambers, to bring clarity and consistency to Government policies and regulations.

	FY 2017/2018	FY 2018/2019
Risk Rating	Moderate	High

Financial Risk

The Finance Division, together with the Group Treasury Division and the Group Chief Financial Officer, is responsible for managing the financial risks of the Company (interest rate risk, currency risk, credit risk and liquidity risk) through continuous monitoring, liquidity management and capital structuring strategies. During the year under review, the management was able to mitigate financial risks by closely monitoring the liquidity position and by making assessments of future cash requirements through the rolling forecast technique. The Company maintained strong working relationships with correspondent banks and also utilised diversified funding systems to manage the range of financial risks faced by the Company.

Exchange Rates

A market-based exchange rate policy adopted by the Central Bank of Sri Lanka (CBSL) resulted in greater flexibility in determining exchange rates of the country. However, increased foreign debt repayments, large foreign investment outflows from capital markets, increased demand for imported goods, supply constraints and unfavourable political developments, exerted pressure on the currency. The Company undertakes certain transactions denominated in foreign currencies. Hence, exposures to exchange rate fluctuations arise. Exchange rate exposure is managed through appropriate financial risk management techniques, such as forward exchange contracts and conversion of foreign supplier credit into credit facilities arranged through local banks.

	FY 2017/2018	FY 2018/2019
Risk Rating	Moderate	High

Interest Rates

Interest rates registered an upward trend during the year, due to CBSL policy rate revisions and liquidity constraints in the market. The increase in interest rates caused the cost of funds to increase, which impacted the profitability of the Company. Exposure to interest rate risk is predominantly in working capital financing

through bank borrowings. However, stronger business relationships with lenders and the strength of the Abans Group, made it possible to negotiate better terms of credit. Another risk management strategy was to borrow from fixed interest rate funding sources, which made it possible to minimise impacts of interest rate fluctuations.

	FY 2017/2018	FY 2018/2019
Risk Rating	Moderate	High

Liquidity Risk

Liquidity risk is the risk that the Company will be unable to meet its liabilities when they fall due. The Company addresses this risk by maintaining sufficient cash and cash equivalent sources and undrawn committed credit facilities, to meet the short, medium and long-term funding requirements and any unforeseen commitments. Further, the liquidity position is monitored on a regular basis.

	FY 2017/2018	FY 2018/2019
Risk Rating	Moderate	Moderate

Credit Risk

Credit risk is the potential losses arising due to customer bankruptcy. The main client of Abans Electricals PLC is Abans PLC. The rest of the client portfolio consists of corporate clients, government and individual customers. In the case of individual customers, most transactions are cash transactions and when credit transactions are conducted with individual customers and corporate clients, credit worthiness is reviewed prior to agreeing to credit terms. In addition, debt follow up and collection status is monitored regularly and action is taken in the case of long outstanding debtors, if any.

	FY 2017/2018	FY 2018/2019
Risk Rating	Moderate	Moderate

Information Technology Risks

The Company relies on IT systems to coordinate the entire inventory management process, finance and payroll functions. The key information technology related risks faced by the Company are; the possibility of system failures, inaccuracy or delays in decision making due to inaccurate or non-availability of timely information and data losses due to cyberattacks or disasters. The Group IT Division has established adequate IT related policies and procedures to mitigate these risks.

	FY 2017/2018	FY 2018/2019
Risk Rating	Moderate	Moderate

Human Resource and Talent Management

It is vital to ensure the availability of a skilled workforce, to meet the strategic as well as operational goals of the Company. Attracting the right people with the right skills, at the right time for the position and developing and retaining such a workforce, is a challenging task.

In order to manage this risk, the Company has implemented a performance base reward system, succession planning and career development programmes. These mechanisms help to identify and retain key talent within the Company. Further, periodic market surveys are carried out to ensure that remuneration is in line with industry pay rates. The Company has increased spending on employee social events and welfare activities to create a better work environment and to increase employee engagement in decision making processes.

	FY 2017/2018	FY 2018/2019
Risk Rating	Moderate	Moderate

Environmental, Health and Safety

Environmental risk arises due to negative environment impacts from business activities and/ or non-compliance with environmental regulations. The Company has adopted best practices and ISO standards on manufacturing processes, to mitigate this risk. Further, the Company stringently adheres to all environmental laws and regulations in the country.

Health and safety risk is the possibility that an employee may be hurt, or may suffer adverse health outcomes, if exposed to a hazardous work conditions. The Company makes every effort to create a safe work environment within the premises. Therefore, adequate preliminary level medical facilities have been provided within the premises and insurance coverage has been obtained for all employees, to mitigate this risk.

	FY 2017/2018	FY 2018/2019
Risk Rating	Moderate	Moderate

Reputation and Brand Image

The Company may occur losses due to impairment of corporate credibility. Being an electrical and electronic home appliance manufacturer and after sale service provider, the long term vision of the organisation is to ensure value addition for target markets and always serving customers at their door step, to attract and retain customers for life. The Company obtains regular customer satisfaction feedback to monitor customer satisfaction levels and takes prompt action on complaints and suggestions. Proper adherence to statutory and environmental regulations and maintaining strict quality control measures by obtaining quality certification (ISO 9001 : 2008), are also strategies adopted in mitigating this risk.

	FY 2017/2018	FY 2018/2019
Risk Rating	High	High

Supply Chain Risk

Supply chain risks are potential losses from procurement related issues, including supply disruptions and supply of inferior quality raw material. The Company has developed good relationships with a large pool of international and local suppliers to mitigate concentration risk and to minimise potential losses from procurement related issues, including supply disruptions and inferior quality raw material.

	FY 2017/2018	FY 2018/2019
Risk Rating	Moderate	Moderate

Understanding the needs of our stakeholders is vital in setting our strategic direction and adding value to stakeholders. Thus, continuous and productive stakeholder engagements have always been a priority for the Company. The Company maintains contact with all stakeholders through formal and informal mechanisms. In addition, the Company applies a precautionary principle when determining the balance between operational expansion and social and environmental sustainability.

Enhancing our Customer Care

In order to enhance services to our customers whilst building relationships, we have started new Service Centres Island wide to provide breakdown support. To ensure quality standards and safety of products, comprehensive tests are conducted on all products during manufacturing and post production, prior to putting our products into the market. Further, user manuals are provided with all products to inform customers about product properties and their conditions of use. In addition, usage instructions are communicated by sales representatives in the retail channels. We ensure that warning and safety labels are displayed wherever applicable.

Employee Welfare

We are focusing on engaging our employees and creating a dynamic, team oriented workforce. Our human resource management policies cover the areas of recruitment, succession planning, performance appraisal, training and development, compensation and benefits and labour relations and grievance handling. Relevant training and awareness programmes are also regularly carried out for employees, to ensure that all safety measures are understood and safety equipment are used to minimise accidents. The Company also uses safe machines in the manufacturing processes and if required and where possible, machines are modified to improve safety standards for employees.

Supplier Engagements

Abans Electricals has a policy in place to assess, grade and monitor the performance of suppliers. We also conduct annual audits of supplier products and implement a quality approval process prior to utilizing raw materials and spare parts for manufacturing and services.

Our objective is to improve value creation for our suppliers by supporting their social and environmental sustainability. Our suppliers play a critical role in our sustainability and value creation process. Our operating activities require a wide range of input material, where quality and timely supply is crucial to ensure smooth operations in a highly competitive market. Therefore, we constantly engage with our foreign and local suppliers to clearly communicate our requirements and quality standards for input material. The success of our supplier engagement efforts is evident in the number and diversity of suppliers that we trade with, and the endurance of these long standing relationships.

Engaging with our Funding Partners

We have built long standing relationships with financial institutions through years of integrity and trust in all financial transactions. This has positioned us as a high value customer of financial institutions making it possible to access to financial support at advantageous rates. The Company's financial statements demonstrate the strength of our assets and the financial stability of the Company. Our strategic supplier management policies meanwhile, have ensured a diverse supplier base with advantageous credit terms that contributes towards financial stability of the Company.

Environmental Responsibility

As a responsible and environmentally conscious manufacturer and service provider, it is our duty to reduce the energy consumption in our operation and to also introduce more energy efficient products, to benefit consumers and the country as a whole. Towards this aim, we introduced the R600a hydrocarbon based refrigerant gas in our products, which facilitated an approximately 40% reduction in energy consumption. During the current financial year we continued to focus on improving our environmental performance, making substantial gains in energy efficiency, waste reduction, waste management and emission control.

Our long term vision, supported by a prudent and vertically integrated strategic growth plan, will continue to enhance the competitiveness of the Company to overcome external threats. Therefore, our stakeholders can be assured of sustained gains and value additions in the years to come.

The Directors of Abans Electricals PLC have pleasure in presenting the Annual Report of the Company, which includes the audited financial statements and all other relevant information for the year ended 31st March 2019, at the 37th Annual General Meeting.

This report was approved by the Board of Directors on 20/08/2019.

Principal Activities

The principal activities of the Company are manufacturing and assembling of household electric and electronic appliances, and the provision of repair and maintenance services for the same, under two departments.

(a) Manufacturing Department

This department was set up primarily for the manufacturing and assembling of household electric and electronic appliance in collaboration with internationally recognised brand names. It engages in assembling and manufacturing washing machines, refrigerators, air conditioners, cookers and solar PV systems installation.

(b) Service Department

This department handles the installation, repair, maintenance and after sales services of electrical and household appliances sold by the Abans Group.

Review of Business Operations

A review of the financial and operational performance of the Company are described in the Management Discussion and Analysis section of the annual report, which forms an integral part of the Directors' Report.

Future Outlook

The future outlook of the Company is described in the Chairperson's Message and Management Discussion and Analysis section of this annual report.

Financial Statements

The financial statements of the Company for the year ended 31st March 2019, have been prepared in accordance with the Sri Lanka Accounting Standards (SLFRS/LKAS) and are given from pages 30 to 60 and form an integral part of this annual report. The financial statements of the Company, duly certified by the two divisional heads of finance and approved by two Directors in compliance with Sections 152, 153 and 168 of the Companies Act.

		2018/2019	2017/2018
Revenue	LKR '000	2,870,558	3,492,566
Profit/(Loss) before Tax	LKR '000	76,546	91,939
Income Tax Saving/(Expense)	LKR '000	(2,202)	(48,238)
Profit/(Loss) after Tax	LKR '000	74,344	43,701
Total Comprehensive Income Net of Tax	LKR '000	180,608	354,338
Profit Available for Appropriation	LKR '000	748,070	680,521
Ordinary Dividend per Share	LKR	2.00	3.00

Accounting Policies

All significant accounting policies adopted by the Company are mentioned in the Notes to the financial statements. The Company prepared its financial statements in accordance with the Sri Lanka Accounting Standards (SLFRS/LKAS).

Capital Expenditure

The total capital expenditure of the Company on property, plant and equipment, including capital work in progress during the year, amounted to LKR 234,106,511/- (2017/2018 – LKR 83,712,586) and all the related information and movements have been disclosed in Note 12 to the financial statements.

There were no additions to the Company's intangible assets during the current financial year (2017/2018 – LKR 97,000). All the related information and movements in this regard have been disclosed in Note 14 to the financial statements.

Valuation on Land, Buildings and Investment Properties

All land and buildings owned by the Company were revalued on 31 March 2018. However, the land located in Colombo 06 was revalued on 31/03/2019 due to the volatility of the land prices in Colombo 06 area. The carrying value as at 31 March 2019 amounts to LKR 924.6 Million (2018 – LKR 759.2 Million). Details of Company land, building and other properties stated at valuation, are given below.

Land Location	No. of Buildings	Perches	Market Value LKR	Revalued Date
Colombo 06	1	41.12	450,000,000	31.03.2019
Ratmalana	3	95.21	202,900,000	31.03.2018
Kandy	1	18.70	73,299,500	31.03.2018
Boralesgamuwa	-	83.10	58,170,000	31.03.2018
Negombo	1	31.10	38,320,000	31.03.2018
Galle	1	13.24	77,789,000	31.03.2018
Panadura	-	44.80	29,200,000	31.03.2019

The Company revalued all its investment properties as at 31 March 2019, and the carrying value amounted to LKR 29.2 Million (2017/2018 - LKR 20.2 Million).

Investments

A description of the long term investments held as at 31 March 2019, are disclosed in Notes 15 and 16 to the financial statements.

Stated Capital and Revenue Reserves

The Company's stated capital and revenue reserves as at 31 March 2019 were LKR 186.7 Million and LKR 748.1 Million respectively (2018 – LKR 186.7 Million and LKR 680.5 Million). The movement and composition of the stated capital and revenue reserves are disclosed in the Statement of Changes in Equity and in Note 22 to the financial statements.

Share Information

The composition and distribution of shareholders and the details relating to earnings, dividends, net assets, market value per share and share trading, are given in page no. 61 of the Annual Report. Market capitalisation, public holding percentage and number of public shareholders are given on the same, as additional disclosures.

Major Shareholders

The list of 20 largest shareholders of the Company, together with the percentages held, is disclosed in page no. 62 of the annual report.

The Board of Directors

The Board of Directors of the Company as at 31 March 2019 and their brief profiles, are given in the Board of Directors section of this annual report.

Related Party Transactions

The related party transactions given in Note 30 to the financial statements, have complied with Colombo Stock Exchange Listing Rules and the Code of Best Practices on Related Party Transactions of the Securities and Exchange Commission.

Employment

The Company is an equal opportunity employer and does not discriminate on ethnic origin, religion, political opinion, gender, marital status, or physical disability. As At 31 March 2019, the total number of employees of the Company was 869 (960 as at 31 March 2018). The total cost of employee benefits for the year was LKR 493.7 Million. (LKR 486.7 Million - 2017/2018). There were no material, employee related or industrial relations related matters to be disclosed.

Corporate Governance

The Board of Directors makes all efforts to implement proper systems and structures of corporate governance best practices required to maintain an effective corporate governance framework. The Company has complied with Section 7.10 of the Listing Rules of the Colombo Stock Exchange on corporate governance and all relevant compliances are listed in the table in pages 13 to 16.

Donations

Donations made during the year came to LKR 953,234/- (LKR 65,523 - 2017/2018)

Statutory Payments

The Directors, to the best of their knowledge, are satisfied that all statutory payments due to employees and the Government have been paid, up to date.

Compliance with Laws and Regulations

To the best of the knowledge and belief of the Directors, the Company has not engaged in any activity, which contravenes laws and regulations of the country.

Risk Management

The Board evaluates and takes all possible action to mitigate any foreseeable risks as a matter of priority. The risk mitigation strategy is based on product diversification, market segmentation, introducing innovations and productivity improvement. A brief discussion on Enterprise Risk Management is given on page No 20 & 21 of this annual report.

Events Subsequent to the Balance Sheet Date

There are no circumstances since the Balance Sheet date, which would require adjustments to, or disclosure in the accounts, other than those disclosed in Note No. 33 to the financial statements.

Major Transactions

There were no major transactions of material effect, other than those which are disclosed in the annual report.

Going Concern

The Directors are satisfied that the Company has adequate resources to continue in operational existence for the foreseeable future, to justify adopting the going concern basis in preparing these financial statements.

Auditors

The Directors have resolved to appoint M/S. SJMS Associates, Chartered Accountants, as the auditors of the Company and to hold office until the conclusion of the next Annual General Meeting.

Dividends

The Directors recommend a final dividend of LKR 3.00 per ordinary share for the financial year ended 31st March 2019.

Directorate and Shareholdings

The Board of Directors, consisting of Mrs. Aban Pestonjee (Chairperson), Mr. Behman Pestonjee, Mr. Athula Siriwardane, Mrs. Dayangani Priyanthi Peiris, Mr. Kumar De Silva and Mr. Dinal Phillips, held office throughout the year ended 31st March 2019.

The Directors retiring in rotation in terms of the Articles of Association are; Mr. Kumara De Silva, Mr. Dinal Phillips. These Directors being eligible, offer themselves for re-election and the Directors are pleased to recommend their re-election.

Name	Beginning of the Year No. of Shares	End of the Year No. of Shares
Mrs. Aban Pestonjee	293,438	293,438
Mr. Behman Pestonjee*	120	120
Mr. Athula Siriwardane	Nil	Nil
Mrs. Dayangani Priyanthi Pieris	Nil	Nil
Mr. Kumar Se Silva	Nil	Nil
Mr. D M R Phillips	Nil	Nil

* This includes 90 shares held by Mr. B. Pestonjee through First Capital Markets Ltd.

Directors' Interests

Directors' Interests in contracts of the Company are included in Note No. 8 to the financial statements. The Directors have made self-declarations for the purpose of identifying parties related to them. The Directors have no direct or indirect interest in any other contract or proposed contract of the Company. The Company is in compliance with Rule.09 of the Listing Rules of the Colombo Stock Exchange pertaining to related party transactions, during the financial year.

Reports to the Public

The Company publishes its quarterly financial statements and annual report, enabling stakeholders and the public to make a fair appraisal of performance.

By Order of the Board,
Sgd
Varners International (Private) Limited
Secretaries
Colombo

The Board of Directors is responsible under sections 150 (1), 151, 152 (1), & 153 of the Companies Act No. 7 of 2007 for preparing the financial statements of the Company in accordance with the Sri Lanka Accounting Standards (SLFRS/LKAS), while selecting and applying appropriate accounting policies, reasonable and prudent judgments and estimates, on a consistent basis.

The Income Statement and Statement of Comprehensive Income of the Company shall provide a true and fair view of the financial performance of the Company and the Statement of Financial Position, shall present a true and fair view of the state of affairs of the Company.

In addition, the Directors shall ensure that the said financial statements provide the required information and make relevant disclosures, to comply with the Companies Act No. 7 of 2007 and the Listing Rules of the Colombo Stock Exchange.

The Directors are also required to ensure that the Company has adequate resources to continue operations in the foreseeable future to justify applying the going concern basis in preparing these financial statements.

The Directors are also responsible to establish a proper internal control system to prevent and detect fraud and other financial irregularities to safeguard assets, and to execute and record all transactions with proper authorisation.

The Directors are required to provide the external auditors, with every opportunity to carry out reviews and tests, which are appropriate to perform their responsibilities and express their opinion regarding the financial statements of the Company.

By Order of the Board,

Sgd

Varners International (Private) Limited

Secretaries

Colombo

Independent Auditor's Report To the Shareholders of Abans Electricals PLC

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Abans Electricals PLC ("the Company"), which comprise the statement of financial position as at 31st March 2019, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Company as at 31 March 2019, and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics), and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Revaluation of Property, plant and equipment

As at 31st March 2019, the Company's property, plant and equipment were revalued as disclosed in note 12.1 and the surplus over the cost was credited to equity which amounted to Rs 142,830,000.

The valuation of the properties is an important matter as it requires exercising significant estimates and judgment since the existence of differences in the valuation of each property would result in material misstatements also by considering the significance of the values hence this requires audit focus.

The Company has hired an independent valuer who has the relevant license, and who has the qualifications and experience required to perform valuations in the market.

For the purpose of estimating the fair value of property, plant and equipment, the valuer used different valuation methods and techniques which included Market Comparable method.

How our audit addressed the key audit matters

Revaluation of Property, plant and equipment

In the course of our audit, we evaluated the competency and independence of the valuer and assessed the appropriateness of valuation methods, approaches and the input used for this purpose. We have also deployed our internal expert to review the reasonableness of the valuation. With the assistance of our internal expert, we challenged the external valuer's assumptions and evaluated the extent to which the movement in valuation were consistent with our industry knowledge and the comparable market transactions.

We have also checked that the values have been correctly recorded in the financial statements and appropriate disclosures have been made.

Independent Auditor's Report To the Shareholders of Abans Electricals PLC

Other information

Management is responsible for the other information. The other information comprises the information included in the annual report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance, conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Responsibilities of management and those charged with governance for the financial statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such an internal control, as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgement and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud that is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of the management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

Independent Auditor's Report To the Shareholders of Abans Electricals PLC

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

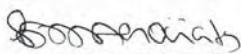
We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

As required by Section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 2347.



SJMS ASSOCIATES
Chartered Accountants
20th August 2019
Colombo

Statement of Profit or Loss & Other Comprehensive Income

For the Year Ended 31st March 2019

	Note	2018/2019 Rs.	2017/2018 Rs.
Revenue	5	2,870,557,754	3,492,566,499
Cost of sales		(2,473,004,162)	(3,099,721,387)
Gross profit		397,553,592	392,845,112
Other income	6	70,075,361	72,325,131
Change in fair value of investment property	13	9,040,000	-
Distribution cost		(71,314,785)	(73,092,867)
Administrative expenses		(261,337,562)	(237,721,372)
Finance and other expenses	7	(67,470,181)	(62,417,421)
Profit before taxation	8	76,546,425	91,938,583
Tax expense	9	(2,202,142)	(48,237,812)
Profit for the year		74,344,283	43,700,771
Other comprehensive income / (expense), net of income tax			
Items that will not be reclassified subsequently to comprehensive income:			
Actuarial gain or loss on defined benefit obligations		3,425,812	725,651
Gain on Revaluation of property, plant and equipment		102,837,600	309,911,359
Other comprehensive income / (expense) for the year-Net of tax		106,263,412	310,637,010
Total comprehensive income for the year		180,607,695	354,337,781
Earnings per share - Basic/ Diluted	10	14.55	8.55
Dividend per share	11	2.00	3.00

The accounting policies and notes from 01 to 37 form an integral part of these financial statements.

Statement of Financial Position

For the Year Ended 31st March 2019

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Abans Electricals PLC
Annual Report 2018/2019

	Note	31.03.2019 Rs.	31.03.2018 Rs.
Non Current Assets			
Property, plant and equipment	12	1,220,448,820	966,036,699
Capital work in progress	12.2	47,504,956	-
Investment property	13	29,200,000	20,160,000
Intangible assets	14	70,817	97,695
Investments in subsidiary	15	11,454,000	11,454,000
Financial investments at amortised cost	16	251,155,519	170,567,277
Total Non Current Assets		1,559,834,112	1,168,315,671
Current Assets			
Inventories	17	529,926,783	594,123,935
Trade and other receivables	18	158,347,820	142,590,713
Deposits, advances and prepayments	19	41,090,146	48,326,068
Amounts due from related parties	20	449,572,842	566,026,454
Income tax receivable	27	7,169,465	-
Cash at bank and in hand	21	48,582,203	73,608,395
Total Current Assets		1,234,689,259	1,424,675,564
Total Assets		2,794,523,371	2,592,991,235
Capital and Reserves			
Stated capital	22	186,732,000	186,732,000
Capital reserves		2,100,000	2,100,000
Revaluation reserve	22.1	412,748,959	309,911,359
Retained earnings		748,070,319	680,521,344
Total Equity		1,349,651,278	1,179,264,703
Non Current Liabilities			
Borrowings	23.1	113,972,800	2,693,825
Retirement benefit obligation	24	85,055,977	86,367,422
Deferred tax liability	25	183,323,390	163,405,636
Total Non Current Liabilities		382,352,167	252,466,882
Current Liabilities			
Trade and other payables	26	348,212,163	510,594,000
Income tax payable	27	-	25,352,700
Deferred service income	28	84,932,728	82,938,277
Amounts due to related parties	29	111,259,467	132,028,288
Borrowings	23.2	518,115,568	410,346,385
Total Current Liabilities		1,062,519,926	1,161,259,650
Total Liabilities		1,444,872,093	1,413,726,532
Total Equity and Liabilities		2,794,523,371	2,592,991,235

I certify that these financial statements comply with the requirements of the Companies Act no. 07 of 2007.



Head of Finance - (Manufacturing Department)

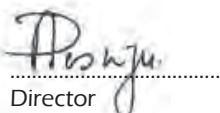


Head of Finance - (Service Department)

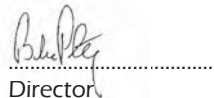
The Board of Directors are responsible for the preparation and presentation of these financial statements.

Signed for and on behalf of the Board of Directors by the following.

Date : 20-08-2019
Colombo



Director



Director

The accounting policies and notes from 01 to 37 form an integral part of these Financial Statements.

Statement of Changes In Equity

For the Year Ended 31st March 2019

	Stated Capital Rs.	Capital Reserves Rs.	Revaluation Reserves Rs.	Retained Earnings Rs.	Total Equity Rs.
Balance as at 1 st April 2017	186,732,000	2,100,000	-	651,426,602	840,258,602
Net profit for the year	-	-	-	43,700,771	43,700,771
Other comprehensive income	-	-	309,911,359	725,651	310,637,010
Final dividend 2016/2017	-	-	-	(15,331,680)	(15,331,680)
Balance as at 31st March 2018	186,732,000	2,100,000	309,911,359	680,521,344	1,179,264,703
Net profit for the year	-	-	-	74,344,283	74,344,283
Other comprehensive income	-	-	102,837,600	3,425,812	106,263,412
Final dividend 2017/2018	-	-	-	(10,221,120)	(10,221,120)
Balance as at 31st March 2019	186,732,000	2,100,000	412,748,959	748,070,319	1,349,651,278

The accounting policies and notes from 01 to 37 form an integral part of these financial statements.

Cash Flow Statement

For the Year Ended 31st March 2019

	2018/2019 Rs.	2017/2018 Rs.
Net profit before interest and taxation	144,016,607	154,356,004
Adjusted for:		
Profit from sale of property, plant & equipment	(13,155,644)	(15,130,277)
Depreciation	70,624,693	66,481,647
Defined benefit plan costs (Gratuity)	19,572,416	20,014,304
Interest income	(23,698,905)	(17,800,563)
Bad debts provision	5,998,191	6,047,458
Provision for obsolete stock	13,072,762	8,263,891
Change in fair value of Investment Property	(9,040,000)	-
Deferred income	(106,085,694)	(83,908,378)
Cash flow from operating activities before working capital changes	101,304,425	138,324,086
(Increase) / decrease in trade and other receivables	(21,755,294)	(4,336,302)
(Increase) / decrease in deposits, advances and prepayments	7,235,922	(9,512,092)
(Increase) / decrease in inventories	51,124,391	46,468,469
(Increase) / decrease in amounts due from/to related companies - Net	92,058,664	341,902,473
Increase / (decrease) in trade and other payables	(40,660,760)	(314,410,957)
	189,307,348	198,435,677
Tax paid	(54,351,553)	(26,414,516)
Interest paid	(63,189,073)	(59,940,335)
Gratuity paid	(16,517,729)	(11,880,684)
Net cash flows from operating activities	55,248,994	100,200,142
Investing activities		
Interest income	23,698,905	17,800,563
Purchase of property, plant and equipment	(234,106,511)	(83,712,586)
Proceeds from disposal of property, plant & equipment	17,577,258	84,730,687
Investment net in fixed deposits	(80,588,243)	(34,442,957)
Net cash flows used in investing activities	(273,418,591)	(15,624,294)
Financing activities		
Dividend paid	(10,221,120)	(15,331,680)
Receipt of loan term loans	150,000,000	8,490,000
Repayment of long term loans	(17,758,525)	(22,209,475)
Net movement in short term loans	73,751,484	-
Net cash flows from / (used in) financing activities	195,771,839	(29,051,156)
Net (decrease) / increase in cash and cash equivalents	(22,397,759)	55,524,692
Cash and cash equivalents at the beginning of the year	59,250,673	3,725,981
Cash and cash equivalents at the end of the year	36,852,914	59,250,673
Cash and cash equivalents at the beginning of the year		
Cash at bank and in hand	73,608,395	31,234,475
Bank overdraft	(14,357,722)	(27,508,494)
	59,250,673	3,725,981
Cash and cash equivalents at the end of the year		
Cash at bank and in hand (Note 21)	48,582,203	73,608,395
Bank overdrafts (Note 23.4)	(11,729,289)	(14,357,722)
	36,852,914	59,250,673

The accounting policies and notes from 01 to 37 form an integral part of these financial statements.

1. Corporate information**1.1. General**

Abans Electricals PLC is a public limited liability company incorporated and domiciled in Sri Lanka and is listed in the Colombo Stock Exchange. The registered office of the company is located at No.498, Galle Road, Colombo 3 and the principal places of business are situated at No. 126, Airport Road, Ratmalana, and No 506B Galle Road, Colombo 06.

1.2. Principal activities and nature of operations

The principal activities of the company are manufacturing and assembling household electrical and electronic appliances and providing repairs, maintenance and technical services of similar type of appliances.

1.3. Parent entity

The company does not have an identified Parent. However, Abans PLC has a significant influence over the company through the holding of 42.45% equity stake.

1.4. Date of authorization for issue

The financial statements of the company for the year ended 31 March 2019 were authorized for issue under a resolution of the Board of Directors on 20th August 2019.

2. Basis of preparation**2.1. Statement of compliance**

The financial statements of the company (statement of financial position, statement of profit or loss and other comprehensive income statement of changes in equity, statement of cash flows together with accounting policies and notes) are prepared in accordance with Sri Lanka Accounting Standards (LKASs and SLFRSs) as issued by the Institute of Chartered Accountants of Sri Lanka and in compliance with the requirements of the Companies Act No.07 of 2007.

2.2. Basis of measurement

The financial statements have been prepared on a historical cost basis, except the defined benefit obligation, which is recognized at its present value. and Property Plant & Equipment (Land and building) and Investment Property which are carried at fair value.

2.3. Functional and presentation currency

The financial statements are presented in Sri Lankan Rupees, which is the company's functional currency and presentation currency. All financial information presented in Sri Lanka Rupees is rounded to the nearest rupee unless otherwise stated.

2.4. Comparative information

Certain reclassifications have been made to the prior year's financial statements to enhance the comparability with the current year's financial

statements. This reclassification do not have any impact on the reported total assets, total equity and total comprehensive income.

Adoption of SLFRS 15

SLFRS 15 'Revenue from Contracts with Customers' and the related 'Clarifications to SLFRS 15 Revenue from Contracts with Customers' (hereinafter referred to as 'SLFRS 15') replace LKAS 18 'Revenue', LKAS 11 'Construction Contracts', and several revenue-related Interpretations. SLFRS 15 establishes a new five-step model that will apply to revenue arising from contracts with customers.

To determine whether to recognise revenue, the Company follows a 5 step process:

1. Identifying the contract with a customer
2. Identifying the performance obligations
3. Determining the transaction price
4. Allocating the transaction price to the performance obligations
5. Recognising revenue when/as performance obligation(s) are satisfied.

The Company has adopted SLFRS 15 by using modified retrospective method.

Application of new revenue recognition principles under SLFRS 15 did not have a material impact on Abans Electricals PLC's financial statements.

Adoption of SLFRS 9

The impairment loss model of the company has been changed from incurred loss model to expected credit loss model, due to the adoption of SLFRS 9. As permitted by SLFRS 9, the company has adopted simplified approach in determining the impairment losses on trade receivables. The financial assets which are classified as loans and receivables are categorized as financial instruments at amortised cost under SLFRS 9.

2.5. Materiality and aggregation

In compliance with LKAS 01 on presentation of financial statements, each material class of similar items is presented separately in the financial statements. Items of dissimilar nature or functions too are presented separately, if they are material.

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position, only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liability simultaneously. Income and expenses are not off-set in the statement of comprehensive income unless required or permitted by any accounting standard or interpretation, and as specifically disclosed in the accounting policies.

3. Significant accounting judgments, estimates and assumptions

The preparation of financial statements requires the application of certain critical accounting assumptions relating to the future. Further, it requires the management of the company to make judgments, estimates and assumptions that affect the reported amounts of income, expenses, assets and liabilities, and the disclosure of contingent liabilities, at the end of the reporting period. However, uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability in future periods. Hence, actual experience and results may differ from these judgments and estimates.

In the process of applying the company's accounting policies, management has made the following judgments, estimates and assumptions which have the most significant effect on the amounts recognized in the financial statements:

a) Taxation

The company is subject to income taxes and other taxes including value added taxation, Excise duty and Nation Building tax. Significant judgment was required to determine the total provision for current, deferred and other taxes.

The company recognized assets and liabilities for current, deferred and other taxes based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and, deferred tax amounts in the period in which the determination is made.

b) Useful life-time of the property, plant and equipment, Intangible assets

The company reviews the residual values, useful lives and methods of depreciation of assets as at each reporting date. Judgment of the management is exercised in the estimation of these values, rates, methods and hence they are subject to uncertainty.

c) Classification of investment properties

Management judgment is required to determine whether a property qualifies as an investment property. Properties held to earn rentals or for capital appreciation or both and which generate cash flows largely independently of the other assets held by the company are accounted for as investment properties. On the other hand, properties used for operations or in the process of providing services or for administrative purposes and which do not directly generate cash flows as standalone assets are accounted for under property, plant and equipment. The company assesses on an annual basis, the accounting classification of its properties taking into consideration the current use of such properties

d) Fair value measurement of property, plant and equipment (Land & Building) and investment properties

Property, plant and equipment and investment properties of the company are measured at fair value for the purposes of preparing the financial statements. Company management determines the main appropriate techniques and inputs required for measuring the fair value. In determining the fair value of the property, plant and equipment and investment properties, management uses observable market data and as appropriate, the company uses an external valuer qualified to do the valuation. Information regarding the required valuation techniques and inputs used to determine the fair value of investment properties are disclosed in note 12.

e) Going concern

The Directors have made an assessment of the company's ability to continue as a going concern and are satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, the Board is not aware of any material uncertainties that may cast significant doubt upon the company's ability to continue as a going concern and they do not intend either to liquidate or to cease operations of the company. Therefore, the financial statements continue to be prepared on the going concern basis.

f) Impairment losses on financial assets - Trade receivables

The company determine the impairment losses on trade receivables based on expected loss model. This involves significant judgments in determining the future losses expected to be derived, due to the default in future payments, by the debtors.

g) Impairment of non- financial assets

An impairment exists when the carrying value of an asset or cash generating unit exceeds its recoverable amount, which is the higher of its fair value less costs to sell and its value in use. The fair value less costs to sell calculation is based on available data from binding sales transactions in an arm's length transaction of similar assets or observable market prices less incremental costs for disposing of the asset. The value in use calculation is based on a discounted cash flow model. The cash flows are derived from the budget for the next five years and do not include restructuring activities that the company is not yet committed to or significant future investments that will enhance the asset's performance of the cash generating unit being tested. The recoverable amount is most sensitive to the discount rate used for the discounted cash flow model as well as the expected future cash - inflows and the growth rate used for extrapolation purposes.

h) Deferred tax liability

Deferred tax liability are recognized for all deductible temporary differences. Significant management judgments are required to determine the amount of deferred tax liability that can be recognized, based on the likely timing and level of future taxable profits together with future tax planning strategies.

i) Defined benefit plans

The cost of defined benefit plans are determined using actuarial valuations. An actuarial valuation involves making various assumptions which may differ from actual developments in the future.

These include the determination of the discount rate, future salary increases, mortality rates, etc. Due to the complexity of the valuation, the underlying assumptions and their long term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date.

In determining the appropriate discount rate, management considers the yield of Sri Lanka Government bonds with extrapolated maturities corresponding to the expected duration of the defined benefit obligation. The mortality rate is based on publicly available mortality tables. Future salary increases are based on expected future inflation rates and expected future salary increase rate of the company.

4. Summary of significant accounting policies

The significant accounting policies applied by the company in preparation of its financial statements are included below.

4.1. Revenue recognition

Revenue is recognized when, or as, the customer obtains control of the goods or services in an amount that reflects the consideration to which the entity expects to be entitled in exchange for those goods or services.

Revenue from sale of goods are recognized, at the point of the customer obtains the control of them.

Revenue from service contracts are recognized over the period of time.

4.1.1 Interest income

Interest income is recognized using the Effective Interest Rate (EIR) method.

4.1.2 Dividend income

Dividend income is recognised in the statement of comprehensive income on an accrual basis when the company's right to receive the dividend is established.

4.1.3 Deferred income

The service income of the company is recognized over the warranty period, since the company is obliged to provide service for the agreed warranty period.

Contract liabilities

Advances received from the customers for the future maintenance services are recognized as deferred service income at the time of related payment is made by the customers. This has been categorized as a contract liability as per SLFRS 15. Upon the delivery of such maintenance services the related consideration is recognized in the revenue.

4.1.4 Other income

Other income is recognized on an accrual basis.

4.2 Expenditure recognition

Expenses are recognized in the statement of comprehensive income on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in running the business and in maintaining property, plant and equipment in a state of efficiency has been charged to the statement of comprehensive income.

For the purpose of presentation of the statement of comprehensive income, the "function of expenses" method has been adopted, on the basis that it presents fairly the elements of the company's performance.

Income tax expense comprises current and deferred tax. Income tax expense is recognised in the statement of comprehensive income.

4.3 Taxation**4.3.1 Current tax**

Current tax assets and liabilities consist of amounts expected to be recovered from or paid to the Commissioner General of Inland Revenue in respect of the current year and any adjustment to tax payable in respect of prior years. The tax rates and tax laws used to compute the amount are those that are enacted or substantially enacted as at the reporting date.

4.3.2 Deferred Tax

Deferred tax is provided using the liability method on temporary differences at the end of reporting period between the tax bases of assets and liabilities and their carrying amounts for financial reporting purpose.

Deferred tax assets are recognised for all deductible differences. The carrying amount of a deferred tax asset is reviewed at each reporting date and reduced to the extent it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Un-recognised deferred tax assets are re-assessed at each date of the Statement of Financial Position and are recognised to the extent that it is probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rate that are expected to apply in the year when the assets are realised or the liabilities are settled, based on tax rates and tax laws that have been enacted or subsequently enacted at the reporting date.

4.4 Non-financial asset**4.4.1 Property, plant and equipment & investment properties****Recognition and measurement**

Property, plant and equipment are recognised if it is probable that future economic benefits associated with the asset will flow to the entity and the cost of the asset can be measured reliably in accordance with LKAS 16 - property, plant & equipment. Initially property, plant and equipment are measured at cost.

Cost model

The company applies the cost model to property plant and equipment except for free hold Land and building.

Revaluation Model

The Entity applies the revaluation model for the entire class of freehold land and freehold buildings for measurement after initial recognition. The fair value of land and buildings are determined based on the valuations carried out by independent valuers. When current market prices of assets of similar nature are available, such evidence is taken into account in determining the fair values of such assets. Such properties are carried at revalued amounts, less any subsequent accumulated depreciation on buildings and any accumulated impairment losses charged subsequent to the date of revaluation.

When an asset is revalued, any increase in the carrying value is recognised in other comprehensive income and accumulated in equity under revaluation reserve, except to the extent that it reverses a revaluation decrease of the same asset previously recognised in the income statement, in which case the increase is recognised in the income statement to the extent of the decrease previously expensed. A decrease in the carrying value arising on the revaluation is recognised in the income statement and any decrease that offsets a previous surplus on the same asset is recognised in other comprehensive income to the extent of any credit balance available in the revaluation surplus in respect of that asset and any excess is recognised as an expense in the income statement. Any balance remaining in the revaluation reserve in respect of an asset, is transferred directly to retained earnings on retirement or disposal of the asset.

Subsequent Measurement

Subsequent expenditure incurred for the purpose of acquiring, extending, or improving assets of a permanent nature by means of which to carry on the business or to increase the earning capacity of the business is treated as capital expenditure and such expenses are recognized in the carrying amount of an asset.

The costs associated with day-to-day servicing of property, plant and equipment .

Depreciation

Depreciation is calculated using the straight-line method to write down the cost of property, plant and equipment to their residual values over their estimated useful lives. Depreciation is charged from the date of purchase to the date of disposal on pro-rata basis. Land is not depreciated. The rates of depreciations are based on the estimated useful lives.

Categories of Assets	Useful Life	
	2019	2018
Building & Installation	Over 40 Yrs.	Over 40 Yrs
Plant & Machinery	Over 10 Yrs.	Over 10 Yrs
Furniture & Fittings	Over 10 Yrs.	Over 10 Yrs
Fixtures & Fittings	Over 10 Yrs.	Over 10 Yrs
Office Equipment	Over 10 Yrs.	Over 10 Yrs.
Tools	Over 10 Yrs.	Over 10 Yrs.
On Loan Assets	Over 05 Yrs.	Over 05 Yrs.
Motor Vehicles	Over 04 Yrs.	Over 04 Yrs.
Computer Equipment	Over 04 Yrs.	Over 04 Yrs.

The asset's residual values, useful lives and methods of depreciation are reviewed, and adjusted if appropriate, at each financial year end.

De-recognition

Property, plant and equipment are de-recognised on disposal or when no future economic benefits are expected from their use. Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in 'other operating income' in the statement of comprehensive income in the year the asset is de-recognised.

Investment properties

Investment properties are properties held either to earn rental income or for capital appreciation or both, but not for sale in the ordinary course of business, used in the production or supply of goods or services or for administrative purposes. Investment properties are initially measured at cost and the fair value model is used for subsequent measurement in accordance with Sri Lanka Accounting Standard (IKAS 40) – Investment Properties. The cost of the investment property comprises of its purchase price and any directly attributable expenditure.

**4.4.2 Intangible assets – Computer software
Basis of recognition**

An intangible asset is recognized if it is probable that future economic benefits that are attributable to the asset will flow to the entity and the cost of the asset can be measured reliably.

All computer software cost incurred, licensed to be used by the company, which are not integrally related to associated hardware, which can be clearly identified, reliably measured and it's probable that they will lead to future economic benefits, are included in the statement of financial position under the category intangible assets and carried at cost less accumulated amortization and any accumulated impairment losses.

Subsequent Expenditures

Subsequent expenditure on software assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

Amortisation

Amortisation is recognised in profit or loss on a straight-line basis over the estimated useful life of the software, from the date that it is available for use since this most closely reflects the expected pattern of consumption of the future economic benefits embodied in the asset. The estimated useful life of software is estimated as four years.

Amortisation methods, useful lives and residual values are reviewed at each financial year-end and adjusted if appropriate.

De-recognition

An Intangible Asset is de-recognised on disposal or when no future economic benefits are expected from it. The gain or loss arising from the de-recognition of such intangible assets is included in profit or loss when the item is derecognised.

4.4.3 Impairment of non-financial assets

An impairment exists when the carrying value of an asset or cash generating unit exceeds its recoverable amount, which is the higher of its fair value less costs to sell and its value in use. The fair value less costs to sell calculation is based on available data from binding sales transactions in an arm's length transaction of similar assets or observable market prices less incremental costs for disposing of the asset. The value in use calculation is based on a discounted cash flow model. The cash flows are derived from the budget for the next five years and do not include restructuring activities that the company is not yet committed to or significant future investments that will enhance the asset's performance of the cash generating unit being tested. The recoverable amount is most sensitive to the discount rate used for the discounted cash flow model as well as the expected future cash-in flows and the growth rate used for extrapolation purposes.

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For the Year Ended 31st March 2019

4.5 Leasehold property

Assets held under finance leases are initially recognised as assets of the company at their fair value at the inception of the lease or, if lower, at the present value of the minimum lease payments. The corresponding liability to the lessor is included in the statement of financial position as a finance lease obligation.

Lease payments are apportioned between finance expenses and reduction of the lease obligations so as to achieve a constant rate of interest on the remaining balance of the liability. Finance expenses are recognised immediately in statement of comprehensive income, unless they are directly attributable to qualifying assets, in which case they are capitalised in accordance with the company's general policy on borrowing costs.

4.6 Inventories

Inventories are valued at the lower of cost and net realisable value (NRV). NRV is the estimated selling price in the ordinary course of business, less the estimated costs of completion and estimated costs necessary to make the sale. Costs incurred in bringing inventories to their present conditions and locations are accounted using the following cost formula;

Raw Materials :	At actual cost of FIFO (First-in-first-out) Basis
Work-in-progress :	At actual cost of direct materials (excluding packing materials) and an appropriate proportion of direct labour.
Manufactured finished goods :	At actual cost of direct material, direct labour and an appropriate proportion of fixed production overheads based on normal operating capacity.
Purchased finished goods :	At actual cost on first-in-first-out basis
Consumables and spares :	At actual cost on first-in-first-out basis
Goods in transit :	At actual cost

4.7 Financial assets – recognition and measurement

4.7.1 Recognition

All financial assets Recognition

All financial assets and liabilities are initially recognised on trade date, the date that the company becomes a party to the contractual provisions of the instrument.

4.7.2 Initial measurement of financial instruments

Initial measurement of financial instruments The classification of financial instruments at initial recognition depends on their cash flow characteristics and the business model for managing the instruments. All financial instruments are initially measured at fair value plus transaction costs, except in the case of financial assets and financial liabilities recorded at fair value through profit or loss. Transaction costs in relation to financial assets and financial liabilities at fair value through profit or loss are dealt with through the income statement.

4.7.3 Measurement categories of financial instruments

With effect from 01st April 2017, the company classifies all of its financial assets based on the business model for managing the assets and the assets' contractual terms measured at either;

- Amortised cost
- Fair value through profit or loss (FVTPL)

4.7.3.1 Amortised cost

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- The asset is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

After initial measurement, these are subsequently measured at amortised cost (gross carrying amount using the EIR, less provision for impairment). Amortised cost is calculated by taking into account any discount or premium on acquisition and fees and costs that are an integral part of the EIR. The amortisation is included in interest income while the losses arising from impairment are recognised in impairment charges for loans and other losses in the income statement.

The amortised cost of a financial asset or financial liability is the amount at which the financial asset or financial liability is measured on initial recognition minus the principal repayments, plus or minus the cumulative amortisation using the effective interest rate (EIR) method of any difference between that initial amount and the maturity amount and, for financial assets, adjusted for any expected credit loss allowance (ECL). Financial assets measured at amortised cost of the company comprise of loans and receivables from banks, loans and receivable from others, loans and receivables from customers, net

investment in leases and hire purchase, securities bought under repurchase agreements that were previously classified under loans and receivables as per LKAS 39.

4.7.4 Reclassification of financial assets

When the company reclassifies the financial assets, it applies the reclassification prospectively from the reclassification date without restating any previously recognised gains or losses (including impairment losses) or interest. Financial liabilities are never reclassified. When a financial asset is reclassified out of the amortised cost measurement category and into the fair value through profit or loss measurement category, its fair value is measured at the reclassification date. Any gain or loss arising from a difference between the previous amortised cost of the financial asset and fair value is recognised in profit or loss. When a financial asset is reclassified out of the fair value through profit or loss measurement category and into amortised cost measurement category, its fair value at the reclassification date becomes its new gross carrying amount. Reclassification is at the discretion of management, and is determined on an instrument - by - instrument basis. Further the company does not reclassify any financial instrument out of the fair value through profit or loss category if upon initial recognition it was designated as fair value through profit or loss.

4.7.5 De-recognition of financial assets

A financial asset (or, where applicable a part of a financial asset or part of a group of similar financial assets) is de-recognised when:

- the rights to receive cash flows from the asset have expired.
- the company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement and either:
 - the company has transferred substantially all the risks and rewards of the asset or
 - the company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the company has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, and has neither transferred nor retained substantially all of the risks and rewards of the asset nor transferred control of the asset, the asset is recognised to the extent of the company's continuing involvement in the asset. In that case, the company also recognises an associated liability. The transferred asset and the associated

liability are measured on a basis that reflects the rights and obligations that the company has retained. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the company could be required to repay.

4.7.6 Impairment allowance for financial assets

Adoption of SLFRS 9 has fundamentally changed the company's loan loss impairment method by replacing incurred loss approach applied under LKAS 39 with a forward looking expected credit loss approach (ECL method). From 01st April 2017, the company has recorded the impairment for expected credit losses for loans and advances, trade and other receivables. Equity instruments are not subject to impairment under SLFRS 9. The ECL approach is based on the credit losses expected to arise over the life of the asset (the life time expected credit loss or LTECL), unless there has been no significant increase in credit risk since origination, in which case the impairment is based on the 12 months' expected credit loss (12 month ECL). 12 month ECL is the portion of ECL that results from default events on a financial instrument that are possible within the 12 months after the reporting date. Financial instruments for which a 12 month ECL is recognised are referred to as stage 1 financial instruments.

The company writes off loans and receivables when they are determined to be unrecoverable.

4.8 Cash and bank balances

Cash and bank balances are defined as cash-in-hand and balances with banks.

For the purpose of cash flow statement, cash and cash equivalents consist of cash in hand and at banks net of outstanding bank overdrafts. Investments with short maturities i.e. three months or less from the date of acquisition are also treated as cash equivalents.

4.9 Stated capital

Ordinary shares are classified as equity. The equity instruments are measured at the fair value of the cash or other resources received or receivable, net of the direct costs of issuing the equity instruments.

4.10 Retirement benefit obligations

4.10.1 Defined benefit plan – gratuity

The company is liable to pay gratuity in terms of the Payment of Gratuity Act No. 12 of 1983, according to which an obligation to pay gratuity arises only on completion of 5 years of continued service. The company's obligations under the

Notes to Financial Statements

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said Act is determined based on an actuarial valuation, using the projected unit credit method, carried out by a professional actuary. Actuarial gains and losses recognized in the other comprehensive income. The liability is not externally funded.

4.10.2 Defined contribution plan

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution plans are recognised as an employee benefit expense in the Statement of comprehensive income as in the periods during which services are rendered by employees.

a. Employees' Provident Fund

The company and employees contribute 12% and 8% respectively on the salary of each employee to the approved Provident Fund.

b. Employees' Trust Fund

The company contributes 3% of the salary of each employee to the Employees' Trust Fund.

4.11 Financial liabilities

All financial liabilities are measured subsequently at amortised cost using effective interest method.

4.11.1 Initial recognition and measurement

SLFRS 9 – Financial instruments

SLFRS 9 replaces LKAS 39 and is applicable for annual reporting periods beginning on or after January 1, 2018. The requirements of SLFRS 9 – Financial Instruments represent a significant change from LKAS 39 – Financial Instruments on recognition and measurement of financial assets and liabilities. The nature and effects of the key changes to the company's accounting policies resulting from its adoption of SLFRS 9 – Financial Instruments are summarized below:

Classification and measurement of financial assets and financial liabilities

SLFRS 9 – Financial Instruments contains three principal classification categories for financial assets: measured at amortised cost, fair value through other comprehensive income (FVOCI) and fair value through profit or loss (FVTPL). The classification of financial assets under SLFRS 9 Financial Instruments is generally based on the business model in which a financial asset is managed and its contractual cash flow characteristics. SLFRS - 9 Financial Instruments eliminates the Recognition and Measurement categories of held for trading, held to maturity, loans and receivables and available for sale that prevailed under LKAS 39.

Financial assets measured at amortised cost

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as fair value through profit or loss (FVTPL):

- the asset is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

4.11.2 De-recognition of financial liabilities

A financial liability is de-recognised when the obligation under the liability is discharged or cancelled or expires. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a de-recognition of the original liability and the recognition of a new liability. The difference between the carrying value of the original financial liability and the consideration paid is recognised in statement of comprehensive income.

4.12 Grant receipt

Grants received from Principle Supplier whose's primary condition is that to display their Logo in the company's service bus for first five years of period and that are recognized as deferred revenue in the statement of financial position and transferred to statement of comprehensive income on a systematic and rational basis over the useful lives of the related assets.

4.13 Provisions

Provisions are recognised when the company has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. The expense relating to any provision is presented in the statement of comprehensive income net of any reimbursement.

4.14 Cash flow statement

The cash flow statement has been prepared using the indirect method, as stipulated in LKAS 7- statement of cash flows. Cash and cash equivalents comprise net of cash in hand, cash at bank and bank overdrafts.

4.15 Subsidiaries

Subsidiaries are entities controlled by the group. The group controls an entity when it is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to

affect those returns through its power over the entity. The financial statements of the subsidiary is included in the financial statement from the date on which control commences until the date on which control ceases. However the investment in subsidiary of the company is currently in under winding up process and the company does not have a control over the relevant activities of the entity.

4.16 Segmental information

For management purposes, the company has organized two operating segments based on products and services, as follows:

- Manufacturing
- Services

This financial statements includes, only the cost of the invested in subsidiary, as it is under the winding up process.

Management monitors the operating results of its business units separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profits or losses which, in certain respects, are measured differently from operating profits or losses in the financial statements. Income taxes are managed on a company basis and are not allocated to operating segments.

Transfer prices between operating segments are on an arm's length basis in a manner similar to transactions with third parties.

4.17 Fair value measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible to by the Company. The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest. A fair value measurement of a non-financial asset takes into account a market

participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities

Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable

Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognised in the financial statements on a recurring basis, the Company determines whether transfers have occurred between Levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

Notes to Financial Statements

For the Year Ended 31st March 2019

4.18 Effect of the accounting standard issued but not yet effective:

Standards issued but not yet effective up to the date of issuance of the company financial statements are listed below. This listing is of standards and interpretations issued, which the company reasonably expects to be applicable at a future date. The company intends to adopt those standards when they become effective.

(i) SLFRS 16 – Leases

SLFRS 16 – Leases eliminates the current dual accounting model for lessees which distinguishes between on-balance sheet finance leases and off balance sheet operating leases. Instead there will be a single on balance sheet accounting model that is similar to the current finance lease accounting. The Company is assessing the potential impact on its Financial Statements resulting from the application of SLFRS 16. This standard is effective for the accounting periods beginning on or after 1st January 2019.

Detailed review of such standards and interpretations, has yet to be made and the extent of the impact has not been determined by the management.

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For the Year Ended 31st March 2019

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Abans Electricals PLC
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	2018/2019 Rs.	2017/2018 Rs.
5. Revenue		
Manufacturing department	2,042,526,572	2,631,510,557
Services department	828,031,182	861,055,942
	2,870,557,754	3,492,566,499
6. Other Income		
Scrap and sundry parts sales	6,970,851	5,136,664
Transport and warehouse income	15,984,293	19,115,200
Interest income	22,936,659	17,097,399
Interest on over due payment	2,099	804
Interest on REPO investment	760,148	702,360
Insurance claim	735,474	512,854
Interest on employee loan	2,119,036	733,227
Profit from sale of property, plant & equipment	13,155,644	15,130,277
Exchange gain	3,275,628	12,236,348
Registration fees income	-	25,000
Franchise management fee	22,267	-
Rent Income	4,113,263	1,635,000
	70,075,361	72,325,131
7. Finance and Other Expenses		
Term loan interest	8,279,564	2,664,122
Bank charges and commission	1,826,963	1,354,172
Overdraft interest	4,034,775	1,982,417
Interest on import loan	50,892,058	54,817,192
Stamp duty	783,550	983,025
Interest on employee loan	1,272,488	236,783
Interest on vehicle loan	380,783	379,710
	67,470,181	62,417,421
8. Profit before Taxation		
Profit from operations is stated after charging all expenses including the followings :		
Directors remuneration	5,809,672	6,863,408
Depreciation and amortisation	70,624,693	66,481,647
Staff costs (excluding defined contribution plan and defined benefit plan)	414,271,489	409,170,250
Defined contribution plan cost	59,900,899	57,535,252
Defined benefit plan cost	19,572,416	20,014,301
Donations	953,234	65,523
Auditor's remuneration	1,076,979	1,040,651
Legal fees	476,301	620,268

	2018/2019 Rs.	2017/2018 Rs.
9. Tax Expenses		
For the year ended 31 March		
Income Tax Expense		
Current year (Note 9.1)	23,217,106	47,662,932
(Over) / under provision for the last year	-	296,023
	23,217,106	47,958,955
Deferred tax expense		
Origination / (reversal) of deferred tax assets	(24,252,412)	(2,277,413)
Origination / (reversal) of deferred tax liabilities	3,237,448	2,556,271
	(21,014,964)	278,858
Tax expense	2,202,142	48,237,812
9.1 Reconciliation of accounting profit and taxable income		
Profit for the year	74,344,283	43,700,771
Current tax expense (Note 27)	23,217,106	47,958,955
Origination / (reversal) of deferred tax assets	(24,252,412)	278,858
Origination / (reversal) of deferred tax liabilities	3,237,448	-
Profit before tax	76,546,425	91,938,583
At the statutory income tax rate of 28%	21,432,999	25,742,803
Less: Exempted interest income	6,635,693	4,787,497
Tax effect on Disallowable expenses	30,594,825	28,331,884
Tax effect on Allowable expenses	(29,843,841)	(16,537,852)
Tax effect on Income from Other Sources & Exempt Income	(50,708,686)	(33,457,150)
Tax effect on Tax profit on disposal of capital assets	3,753,910	4,346,094
Tax effect on Deferred Service Income Received during the year	41,352,206	34,449,656
Assessable income	23,217,106	47,662,932
Less: Deductions	-	-
Total current tax	23,217,106	47,662,932
Total taxable liability (at 28%)		
10. Earnings per Share - Basic/ Diluted		
Basic Earnings per Share is calculated based on the profit after taxation attributable to ordinary shareholders divided by the weighted average number of ordinary shares outstanding during the year.		
Amount used as the Numerator		
Profit attributable to ordinary shareholders	74,344,283	43,700,771
Amount used as the Denominator		
Weighted average number of shares	5,110,560	5,110,560
Earnings per Share - Basic/Diluted	14.55	8.55
11. Dividend per share		
Dividends per share (paid)	2.00	3.00

12 Property, Plant and Equipment

Net book value of freehold assets (Note 12.1)

12.1 Freehold Assets

	As at 01.04.2017	Additions During the year	Disposals during the year	Transfer of Accumulated Dep	Transfer to Investment Property	Revaluation	As at 31.03.2018
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Cost / Revaluation							
Land and land development	214,333,165	1,431,000	(20,786,000)	-	(20,160,000)	354,449,835	529,268,000
Building	208,909,237	35,631,582	(35,214,000)	(55,378,925)	-	75,982,608	229,930,502
Plant and machinery	290,257,040	11,771,841	(500,000)	-	-	-	301,528,881
Furniture and fittings	18,080,437	669,026	(87,729)	-	-	-	18,661,734
Fixtures and fittings	14,948,475	408,975	-	-	-	-	15,357,450
Office equipment	20,060,475	300,491	(15,730)	-	-	-	20,345,237
Tools	44,823,915	6,513,004	(14,774)	-	-	-	51,322,145
Computer equipment	61,844,519	5,775,692	(73,555)	-	-	-	67,546,657
Motor vehicles	185,462,153	21,114,061	(39,787,108)	-	-	-	166,789,106
On loan asset	1,957,577	-	-	-	-	-	1,957,577
	1,060,676,993	83,615,672	(96,478,895)	(55,378,925)	(20,160,000)	430,432,443	1,402,707,287

	As at 01.04.2018	Additions During the year	Disposals during the year	Transfer of Accumulated Dep	Transfer to Investment Property	Revaluation	As at 31.03.2019
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Cost / Revaluation							
Land and land development	529,268,000	-	-	-	-	109,500,000	638,768,000
Building	229,930,501	28,937,419	(1,550,000)	-	-	33,330,000	290,647,920
Plant and machinery	301,528,881	143,068,847	-	-	-	-	444,597,728
Furniture and fittings	18,661,734	337,697	-	-	-	-	18,999,430
Fixtures and fittings	15,357,450	5,642,143	-	-	-	-	20,999,593
Office equipment	20,345,237	200,159	(24,500)	-	-	-	20,520,896
Tools	51,322,145	3,742,213	(31,206)	-	-	-	55,033,152
Computer equipment	67,546,657	3,477,828	-	-	-	-	71,024,485
Motor vehicles	166,789,106	1,195,250	(26,329,461)	-	-	-	141,654,895
On loan asset	1,957,577	-	-	-	-	-	1,957,577
	1,402,707,287	186,601,555	(27,935,167)	-	-	142,830,000	1,704,203,674

Depreciation	As at 01.04.2017	Depreciation During the year		Depreciation on disposals		Transfer of Accumulated Dep		Transfer to Investment property Rs.	On Revaluation		As at 31.03.2018
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.		Rs.	Rs.	Rs.
Building	50,652,239	4,726,686	-	-	(55,378,925)	-	-	-	-	-	-
Plant and machinery	176,285,898	22,132,523	(500,000)	-	-	-	-	-	-	-	197,918,421
Furniture and fittings	10,065,333	1,231,924	(66,083)	-	-	-	-	-	-	-	11,231,174
Fixtures and fittings	6,590,865	1,282,125	-	-	-	-	-	-	-	-	7,872,989
Office equipment	13,352,652	1,494,586	(10,449)	-	-	-	-	-	-	-	14,836,789
Tools	20,602,938	4,455,163	(14,774)	-	-	-	-	-	-	-	25,043,327
Computer equipment	52,893,607	4,178,105	(72,794)	-	-	-	-	-	-	-	56,998,919
Motor vehicles	121,447,730	26,582,256	(26,214,384)	-	-	-	-	-	-	-	121,815,601
On loan asset	561,854	391,515	-	-	-	-	-	-	-	-	953,369
	452,453,115	66,474,883	(26,878,485)	(55,378,925)							436,670,589

Depreciation	As at 01.04.2018	Depreciation During the year		Depreciation on disposals		Transfer of Accumulated Dep		Transfer to Investment property Rs.	On Revaluation		As at 31.03.2019
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.		Rs.	Rs.	Rs.
Building	-	6,382,397	(1,550,000)	-	-	-	-	-	-	-	4,832,397
Plant and machinery	197,918,421	30,488,446	-	-	-	-	-	-	-	-	228,406,867
Furniture and fittings	11,231,174	1,172,646	-	-	-	-	-	-	-	-	12,403,820
Fixtures and fittings	7,872,989	1,598,822	-	-	-	-	-	-	-	-	9,471,811
Office equipment	14,836,789	1,360,116	(14,690)	-	-	-	-	-	-	-	16,182,214
Tools	25,043,327	5,037,009	(31,206)	-	-	-	-	-	-	-	30,049,130
Computer equipment	56,998,919	4,956,124	-	-	-	-	-	-	-	-	61,955,043
Motor vehicles	121,815,601	19,210,743	(21,917,657)	-	-	-	-	-	-	-	119,108,686
On loan asset	953,370	391,515	-	-	-	-	-	-	-	-	1,344,885
	436,670,589	70,597,819	(23,513,554)								483,754,855

Net book value as at 31.03.2018

Net book value as at 31.03.2019

966,036,699
1,220,448,820

Property, plant and equipment**Revaluation Land and Building**

Free hold land and building of the Entity was valued by Mr.K.D.Sirisen a professional valuer on 31st March 2018 and the excess of Rs.430,432,443 over the net book value as at 31st March 2018 has been credited to the revaluation reserve.

Free hold land and building of Property at Colombo 06 was valued by Mr.U.S.Silva a professional valuer on 31st March 2019 and the excess of Rs.142,830,000 over the net book value as at 31st March 2019 has been credited to the revaluation reserve. Due to the volatility of the land prices in colombo-06 area, Management has decided to revalue it's land and building in colombo-06 as of 31.03.2019 as well.

The fair value of the freehold land was determined based on the market comparable approach that reflects recent transaction prices for similar properties. The fair value measurement for all the lands has been categorised as a Level 3 fair value based on the inputs to the valuation technique used. A significant increase in the market value per perch used in arriving at fair value would result in a significant increase in fair value, and vice versa.

As at 31 March Property, plant and equipment	Land extent	Building area	No of buildings	Date of valuation	Fair value (Rs.)
Property at Kandy	Perches 18.7	Sq.ft 5,081	1	31.03.2018	73,299,500
Land at Boralasgamuwa	Perches 83.1	-	-	31.03.2018	58,170,000
Property at Galle	Perches 13.24	Sq.ft.12,365	1	31.03.2018	77,789,000
Property at Negambo	Perches 31.1	Sq.ft 1,500	1	31.03.2018	38,320,000
Property at Colombo 06	Perches 39.58	Sq.ft 31,713	1	31.03.2019	450,000,000
Property at Rathmalana 1	Perches 83.41	Sq. ft.29,198	2	31.03.2018	185,600,000
Property at Rathmalana 2	Perches 11.80	Sq. ft.3,654	1	31.03.2018	17,300,000
					900,478,500

Fair value Hierarchy

The table below analyse non financial instruments measured at fair value at the end of the reporting period, by the level of the fair value hierarchy.

Land and Buildings	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Rs.
2019	-	-	900,478,500	900,478,500

The fair value measurement has been categorised as level 3 fair value based on the inputs to the valuation techniques used.

Valuation techniques and significant unobservable inputs

The following table shows the valuation techniques used in measuring the fair value of Land and buildings, as well as the significant unobservable input used.

Location	Valuation technique	Significant unobservable inputs	Significant unobservable inputs - Valued at
Property at Kandy	Open market	Price per perch and sq.ft	300,000/- per perch and per Sq.ft
Land at Panadura	Open market	Price per perch	450,000/- per perch
Land at Boralasgamuwa	Open market	Price per perch	700,000/- per perch
Property at Galle	Open market	Price per perch and sq.ft	2,700,000/- per perch and per Sq.ft
Property at Negambo	Open market	Price per perch and sq.ft	1,200,000/- per perch and per Sq.ft
Property at Colombo 06	Open market	Price per perch and sq.ft	9,000,000/- per perch and per Sq.ft
Property at Rathmalana 1	Open market	Price per perch and sq.ft	1,000,000/- per perch and 3,500 per Sq.ft
Property at Rathmalana 2	Open market	Price per perch and sq.ft	1,000,000/- per perch and 1500 per Sq.ft

Increase/decrease in price per perch have a positive correlation with the fair value of the land and building.

12.2 Capital work in progress

Solar Power Installation Project in Washing machine injection molding plant

31.03.2019	31.03.2018
Rs.	Rs.
47,504,956	-
47,504,956	-

As at 01.04.2018	Revaluation During the year	Disposals during the year	As at 31.03.2019
Rs.	Rs.	Rs.	Rs.

13. Investment Property

Market Value	20,160,000	9,040,000	-	29,200,000
	20,160,000	9,040,000	-	29,200,000

Revaluation Investment Property

Investment Property at Panadura was valued by Mr.U.S.Silva a professional valuer on 31st March 2019 and the excess of Rs.9,040,000 over the net book value as at 31st March 2019 has been credited to Statement of Income.

As at 31 March	Land extent	Date of valuation	Fair value (Rs.)
Investment property			
Land at Panadura	Perches 44.9	31.03.2019	29,200,000

The fair value measurement has been categorised as level 3 fair value based on open market valuation technique.

14. Intangible Assets

	As at 01.04.2018 Rs.	Additions During the year Rs.	Disposals during the year Rs.	As at 31.03.2019 Rs.
Cost				
Computer software	14,457,433	-	-	14,457,433
	14,457,433	-	-	14,457,433
Amortization				
Computer software	14,359,738	26,878	-	14,386,616
	14,359,738	26,878	-	14,386,616
Net book value on intangible assets	97,695			70,817

15. Investments in Subsidiary

Abans Jung Poong (Pvt) Ltd.

114,540 Shares of Rs. 100/- each

31.03.2019
Rs.

11,454,000

31.03.2018
Rs.

11,454,000

Abans Jung Poong (Pvt) Ltd has ceased its business in 1996/1997. The board has taken the initiatives to wind up the company under the creditors voluntary winding up.

The percentage owned by Abans Electricals PLC is 49.2% of Jung Poong (Pvt) Ltd, which represent Rs. 14.58 Mn of the total assets value of Rs. 35.65 Mn (Land and building) consequently the company is certain that the full recovery of the investment of Rs 11.454 Mn after charging all relevant liquidation expenses.

16. Financial Investments at Amortised Cost

Peoples Bank

Bank of Ceylon

Seylan Bank

Union Bank

Sampath Bank

Abans Finance PLC

31.03.2019
Rs.

5,000,000

62,518,982

684,358

54,771,799

38,617,355

89,563,026

251,155,519

31.03.2018
Rs.

5,000,000

55,826,150

632,212

20,260,068

35,157,371

53,691,476

170,567,277

17. Inventories

Raw material

Work-in-progress

Finished goods

- Manufactured

- Imported

Goods in transit

Less: Provision for damaged and obsolete stock (Note 17.1)

449,542,051

4,478,431

7,078,284

159,041

88,927,190

550,184,998

(20,258,215)

529,926,783

494,751,151

12,206,324

10,712,550

165,041

95,116,905

612,951,972

(18,828,036)

594,123,935

17.1 Movement for the provision for damaged and obsolete stocks ;

Balance as at 1 April

Further provisions made

Provisions written back

Balance as at 31 March

18,828,036

13,072,762

(11,642,583)

20,258,215

13,850,236

8,263,891

(3,286,090)

18,828,036

18. Trade and Other Receivables**Financial assets**

Trade debtors

Less: Allowance for impairment of debtors (Note 18.1)

Loans to employees

Non financial assets

Other receivables

18.1 Movement of the allowance for impairment of debtors ;

Balance as at the beginning of the year

Impairment loss recognized during the year

Written off by utilising provisions

Balance as at the end of the year

As at 31 March, the ageing analysis of trade receivables are, as follows ;

Past due but not impaired					
Total Rs. '000	0 - 30 days Rs. '000	30 - 60 days Rs. '000	60 - 90 days Rs. '000	90-120 Rs. '000	Over 120 Rs. '000
2019 161,775,754	47,333,269	37,038,126	18,404,447	10,839,425	48,160,487
2018 142,936,633	39,028,527	31,003,232	31,522,187	9,841,350	31,541,337

Refer Note 36 on credit risk of trade receivables, which explains how the Company manages and measures credit quality of trade receivables that are neither past due nor impaired.

19. Advances, Deposits and Prepayments

Advances

Deposits

Prepayments

20. Amounts due from Related Parties

Abans PLC

Abans Restaurant (Pvt) Ltd

Abans Environmental(Pvt) Ltd

Abans Jung poong(Pvt) Ltd

Abans Marketing (Pvt) Ltd

Abans Auto (Pvt)Ltd

Abans Engineering Pvt Ltd

Abans Financial Services Ltd

Abans Automation (Pvt) Ltd

ABS Courier (Pvt) Ltd

Abans Information Systems (Pvt) Ltd

Due from related parties balances are receivable on demand and carry no interest, also does not hold any collateral.

	31.03.2019 Rs.	31.03.2018 Rs..
21. Cash at Bank & in Hand		
Cash in hand	2,476,913	1,608,557
Cash at bank	46,105,290	71,999,838
	48,582,203	73,608,395
	Number of shares	Value of Shares (Rs.)
22. Stated Capital		
At 31st March 2019	5,110,560	186,732,000
At 31st March 2018	5,110,560	186,732,000
22.1 Revaluation Reserve		
Balance at the beginning of the year	309,911,359	-
Revaluation gain	142,830,000	430,432,443
Deferred tax on revaluation surplus	(39,992,400)	(120,521,084)
Balance at the end of the year	412,748,959	309,911,359
23. Borrowings		
23.1 Long term borrowings		
Term loan - Long term portion (Note 23.3)	113,972,800	2,693,825
23.2 Short term borrowings		
Term loan - Short term portion (Note 23.3)	32,605,200	11,642,700
Import loans	469,499,971	381,868,878
Provision for interest	4,281,108	2,477,086
Bank overdraft (Note 23.4)	11,729,289	14,357,722
	518,115,568	410,346,385
23.3 Loans from bank		
Balance at the beginning of the year	14,336,525	28,056,000
Loan granted during the year	150,000,000	8,490,000
Payment made during the year	(17,758,525)	(22,209,475)
Balance at the end of the year	146,578,000	14,336,525
Repayable within one year	32,605,200	11,642,700
Repayable after one year	113,972,800	2,693,825
	146,578,000	14,336,525

Notes to Financial Statements

For the Year Ended 31st March 2019**23.4 Bank overdrafts**Hatton National Bank
Commercial bank

31.03.2019 Rs.	31.03.2018 Rs.
-	14,357,722
11,729,289	-
11,729,289	14,357,722

23.5 Terms and conditions of borrowing facilities**Facility
Import and Hypothecation loans**

Peoples Bank

HNB Bank

Bank of Ceylon

Sampath Bank

Commercial Bank of Ceylon PLC

Term Loan Facility

Lender: Sampath Bank

Commercial Bank of Ceylon PLC

Overdraft Facilities

HNB

Sampath Bank

Bank of Ceylon

Peoples Bank

Union Bank

Commercial Bank of Ceylon PLC

Letter of Guarantee Facility

Sampath Bank

Security

- Primary floating mortgage bond of Rs. 250 Mn over stock and book debts

- Primary floating mortgage bond Rs.400 Mn. Over Stock of refrigerator cabinets & components .

- Hypothecation Bond of Rs. 15 Mn over Stock and Book Debts

- Primary floating mortgage bond of Rs. 350 Mn over stock and book debts.

- Floating Primary Mortgage for LKR 550.0Million over Stocks and Book Debts

- Mortgage over vehicle purchased. Loan agreement for LKR 50.0Million

- Floating Primary Mortgage for LKR 550.0Million over Stocks and Book Debts

- Primary floating mortgage bond for Rs. 60 Mn over land & building situated at No. 126, Airport Road, Ratmalana.

- Hypothecation bond of over stock and book debts

- Hypothecation bond of over stock and book debts

- Hypothecation bond of over stock and book debts

- Concurrent mortgage bond Rs 30 Mn over the company stock in trade & assignment of book debts

- Floating Primary Mortgage for LKR 550.0Million over Stocks and Book Debts

- Master Counter indemnity of the Company for LKR 5.0Million

24. Retirement Benefit Obligation

	31.03.2019 Rs.	31.03.2018 Rs.
Balance at the beginning of the year	86,367,422	79,241,653
Interest cost	8,636,742	10,301,415
Current service cost	10,935,674	9,712,886
Actuarial (gain) /loss	(4,366,131)	(1,007,848)
	101,573,707	98,248,106
Less : payments made during the year	(16,517,729)	(11,880,684)
Balance at the end of the year	85,055,977	86,367,422

The retirement benefit liability of the Company is based on the actuarial valuation carried out by Actuarial & Management Consultant (Pvt) Ltd. The valuation method used by the actuary was "Projected Unit Credit Method". The principal assumptions used in determining the cost of retirement benefits were:

Discount rate	10.0%	10.00%
Expected rate of salary increase	12.0%	10.00%
Retirement Age	55 & 60	55 & 60

The amounts recognised in the comprehensive income are as follows:

Current service cost	10,935,674	9,712,886
Interest cost	8,636,742	10,301,415

The amount recognised in the other comprehensive income is as follows:

Actuarial (Gain)/loss	(4,366,131)	(1,007,848)
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Sensitivity Analysis

Reasonable possible changes at the reporting date to one of the relevant actuarial assumptions, holding other assumptions constant would have affected the defined benefit obligation and defined benefit obligation would be ;

+ 1% point increase on discount rate	79,951,322	83,373,359
- 1% point decrease on discount rate	90,039,335	89,591,197
+ 1% point increase on salary increment rate	90,430,540	89,842,518
- 1% point decrease on salary increment rate	80,151,903	83,085,123

25. Deferred Tax Liability

	31.03.2019 Rs.	31.03.2018 Rs.
Balance at the beginning of the year	163,405,636	42,323,497
Amount originated / (reversed) during the year		
- Statement of profit or loss	(21,014,964)	278,858
- Statement of other comprehensive income	40,932,719	120,803,281
Balance at the end of the year	183,323,390	163,405,636

Net deferred tax asset/liability are attributed to the following as at the year end;

	Property, Plant & Equipment	Retirement benefit obligation	Provisions	Investment Properties	Intangible Assets	Total
Temporary differences	Rs	Rs	Rs	Rs	Rs	Rs
Balance as at 1 April 2017	64,511,160	(22,187,662)	-	-	-	42,323,497
Recognised in profit or loss	2,556,271	(2,277,413)	-	-	-	278,858
Recognised in other comprehensive income	120,521,084	282,197	-	-	-	120,803,281
Balance as at 1 April 2018	187,588,515	(24,182,878)	-	-	-	163,405,636
Recognised in profit or loss	(10,956,227)	(573,115)	(12,723,070)	3,217,620	19,829	(21,014,964)
Recognised in other comprehensive income	39,992,400	940,319	-	-	-	40,932,719
Balance as at 31 March 2019	216,624,687	(23,815,674)	(12,723,070)	3,217,620	19,829	183,323,390

26. Trade and Other Payables
Financial Liability

	31.03.2019 Rs.	31.03.2018 Rs.
Trade creditors	60,647,774	135,124,421
DA bills payable	20,919,942	108,996,515
Accrued charges	46,459,568	51,412,772
Prepaid employee benefit	3,303,727	1,817,203
Other payables	178,943,884	171,043,006
Provision	11,749,146	14,604,611
Import control	8,391,340	6,191,023
Advances from customers	6,280,684	3,646,591

336,696,065

492,836,142

Non Financial Liability

Excise duty payable	1,804,880	15,863,170
Nations building tax	2,552,429	1,423,660
Value added tax	7,158,789	471,028

11,516,098

17,757,858

348,212,163

510,594,000

27. Income Tax Payable/(Receivable)

Balance at the beginning of the year	25,352,700	5,270,077
Income tax for the year (Note 9.1)	23,217,106	47,958,955
	48,569,807	53,229,032
Withholding tax	(1,387,719)	(1,576,315)
Income tax paid	(39,833,808)	(5,489,741)
ESC paid	(14,517,745)	(20,810,276)
Balance at the end of the year	(7,169,465)	25,352,700

28. Deferred Service Income

Deferred Service Income consists of the income received for under - warranty charges for next three years for selected Refrigerators and Washing machines.

29. Amounts due to Related Parties

	31.03.2019 Rs.	31.03.2018 Rs.
Abans Environmental (Pvt) Ltd	178,035	-
Abans Marketing (Pvt) Ltd	2,433,456	-
Abans Auto (Pvt) Ltd	193,668	-
Abans Retail (Pvt) Ltd	98,038,466	98,790,303
AB Securitas (Pvt) Ltd	4,537,917	4,515,733
Crown City Developers (Pvt) Ltd	3,946,533	3,679,847
Abans Graphics (Pvt) Ltd	104,878	102,707
Sirius Technologies Services (Pvt) Ltd	276,493	276,493
Abans Engineering (Pvt) Ltd	-	20,076,696
AB Logistics (Pvt) Ltd	-	6,644
Abans Logistics (Pvt) Ltd	1,112,489	3,669,450
ABS Gardiner Dixon Hall (Pvt) Ltd	120,507	576,630
Add Outdoor Advertising (Pvt) Ltd	317,025	333,784
	111,259,467	132,028,288

Due to related party balances are payable on demand and carry no interest, also does not hold any collateral.

30. Related Party Disclosures

Company	Relationship	Nature of Transaction	2018/2019 received/ (paid) Rs.	2017/2018 received/ (paid) Rs.
Abans PLC	Affiliate	Sales of Goods/Services Reimbursement of Warehouse Expenses Wharf Expenses Other Purchases	2,419,233,748 12,406,500 (14,753,860) (44,386,368)	3,239,003,939 14,081,632 (17,982,269) (7,595,879)
Abans Retail (Pvt) Ltd	Affiliate	Sales of Goods/ Services	85,178,377	7,788,597
Abans Retail Channel	Affiliate	Sales of Goods	256,178,517	232,846,093
Abans Retail Channel-JVC	Affiliate	Sales of Goods	14,962,076	49,348,286
Abans Marketing (Pvt) Ltd	Affiliate	Rent Expenses	(3,000,000)	(3,000,000)
Crown City Developers (Pvt) Ltd.	Affiliate	Logistic Expense	(24,091,594)	(38,550,253)
Abans Engineering (Pvt) Ltd	Affiliate	Purchases Sales of Goods/Services Reimbursement of water electricity and rent Subcontract	(2,411,475) 1,849,692 11,737,700 -	(30,048,765) 9,384,617 7,402,813 (836,773)
AB Transport (Pvt) Ltd	Affiliate	Freight Expenses	(6,007,637)	(11,288,668)
ABS Courier (Pvt) Ltd.	Affiliate	Rent income Courier charges	1,500,000 (693,532)	1,275,000 411,224
Abans Finance PLC	Affiliate	Interest Income Invest in Fixed deposit	5,708,932 (28,786,000)	6,333,363 -
AB Securitas (Pvt) Ltd	Affiliate	Security Charges	(17,390,609)	(17,754,982)
Abans Environmental [Pvt] Ltd.	Affiliate	Cleaning charges	(1,310,622)	(1,031,739)
Abans Auto (Pvt) Ltd	Affiliate	Motor vehicle maintenance Land & Building disposal	(1,177,158) -	(925,554) 57,030,000
Abans Logistic Pvt Ltd	Affiliate	Freight Expenses	(3,121,370)	-

The balance outstanding as at the reporting date disclosed under Note 20 and 29. The above transactions have been carried out in normal commercial terms.

31. Transactions with Key Management Personal (KMPs)

According to LKAS 24, KMPs are those having authority and responsibility for planning, directing and controlling the activities of the entity. Such KMPs include the board of directors of the company.

	2018/2019 Rs.	2017/2018 Rs.
Post employee benefits	7,743,068	1,345,876
Short term employee benefits	13,791,431	9,130,506

32. Commitments

There are no material commitments outstanding as at the financial position date.

33. Events after the Reporting Period

No circumstances have arisen since the statement of financial position date which would require adjustments to, or disclosure in the financial statements.

34. Contingent Liabilities

There were no contingent liabilities as at the end of the reporting date other than guarantees given for loans and the pending litigation as mention below.

Nature of the liability	Case No
Case by Nishantha Manamperi against Abans Electricals (PLC) - As at 31st March 2019 , DC/02109/2013/ (MR) the case stood fixed for further trial has been fixed to be resumed on 29th May 2019.	

35. Business Segmental Information

The company comprises the following two business segments.

Segment	Products & Services
Manufacturing Department	Manufacture and sale of washing machines, refrigerators, cookers and freezers, providing AC installation and providing after sale services.
Service Department	Installation, repair and maintenance, including all after sales services, of electrical & household appliances sold by Abans Group.

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For the Year Ended 31st March 2019

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Segmentation analysis is as follows ;

	2018/2019			2017/2018		
	Manufacturing Rs.	Services Rs.	Total Rs.	Manufacturing Rs.	Services Rs.	Total Rs.
Business Segment						
<u>Turnover and Results</u>						
Revenue - Assembling and manufacturing	1,597,842,356	-	1,597,842,356	2,320,347,131	-	2,320,347,131
-Services	444,684,216	828,031,182	1,272,715,398	311,163,425	861,055,942	1,172,219,367
Total	2,042,526,572	828,031,182	2,870,557,754	2,631,510,557	861,055,942	3,492,566,499
Profit for the year-before taxation	29,679,418	46,867,007	76,546,425	28,728,587	63,209,996	91,938,583
Business Segment						
<u>Operating Assets and Liabilities</u>						
Segment assets	1,494,051,736	1,300,471,635	2,794,523,371	1,436,082,120	1,156,620,814	2,592,702,934
Segment liabilities	1,029,833,544	415,038,549	1,444,872,093	1,058,539,260	355,187,272	1,413,726,532
Business Segment						
<u>Other Information</u>						
Capital expenditure	228,383,154	5,723,357	234,106,511	25,794,708	57,917,878	83,712,586
Depreciation and Amortization	51,600,817	19,023,876	70,624,693	47,020,683	19,460,964	66,481,647
Provision for retirement benefit obligation	5,758,668	9,447,617	15,206,285	7,375,226	11,631,228	19,006,453

Segment information is presented in respect of the company's business segments. Segment results, assets and liabilities include those items directly attributable to a segment.

36. Financial risk management

Financial risk comprises the potential loss to earnings and /or the capital position arising from Liquidity Risk, Currency Risk and Interest Rate Risk. So, Management is in the position to mitigate the risk by monitoring of liquidity position and assessment of future cash requirements through rolling forecast, keeping long outstanding relationships with correspondent banks and also maintaining diversified funding systems. Company has entered into a fixed term interest rate contracts for short term borrowings and there by interest rate risk can be reduced. Long term borrowings are exposed to fluctuation of interest rates due to contracted floating rates. Management continuously monitors fluctuations for proactive actions to mitigate the possible losses. The DA (Documents against Acceptance) bills shown under the trade payable are exposed to exchange rate fluctuations.

The Company's management monitors regularly and manages the financial risks relating to the operations of the Company by analysing exposures by degree and magnitude of risks. These risks include market risk (including currency risk, interest rate risk and equity price risk) credit risk and liquidity risk.

1. Market Risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and equity prices will affect the Company's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return.

The Group's activities expose it primarily to the financial risks of changes in foreign currency exchange rates, interest rates and equity prices.

a) Foreign currency risk

The Company undertakes certain transactions denominated in foreign currencies. Hence, exposures to exchange rate fluctuations arise. Exchange rate exposures are managed within approved policy parameters.

As explained above, the company exposed to foreign currency risk mainly from DA bills.

Sensitivity Analysis of the Exchange Rate Risk on DA Bills

	Foreign exchange value	Currency	Exchange rate	Rupee value as at 31 st March 2019	Exchange rate increase in Rs. 1/-	Exchange rate increase in Rs. 2/-	Exchange rate increase in Rs. 3/-	Exchange rate increase in Rs. 4/-
31 st March 2019	110,847	Dollars	174.33	19,324,130	19,434,977	19,545,824	19,656,671	19,767,518
31 st March 2018	582,143	Dollars	157.49	91,681,701	92,263,844	92,845,987	93,428,130	94,010,273

Potential Loss compared to 31st March 2019

% of loss

110,847	221,694	332,541	443,387
0.57%	1.15%	1.72%	2.29%

Potential Loss compared to 31st March 2018

% of loss

582,143	1,164,286	1,746,429	2,328,572
0.63%	1.27%	1.90%	2.54%

31 st March 2019	-	Euros	197.80	-	-	-	-	-
31 st March 2018	90,665	Euros	195.17	17,695,088	17,785,753	17,876,418	17,967,083	18,057,748

Loss compared to 31st March 2019

% of loss

-	-	-	-
0%	0%	0%	0%

Loss compared to 31st March 2018

% of loss

90,665	181,330	271,995	362,660
0.51%	1.02%	1.54%	2.05%

31 st March 2019	6,637	GBP	240.45	1,595,811	1,602,448	1,609,085	1,615,722	1,622,358
31 st March 2018	-	GBP	219.54	-	-	-	-	-

Loss compared to 31st March 2019

% of loss

6,637	13,274	19,910	26,547
0.42%	0.83%	1.25%	1.66%

Loss compared to 31st March 2018

% of loss

-	-	-	-
0%	0%	0%	0%

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b) Interest Rate Risk

Interest rate risk is the sensitivity of the Company's financial condition to future movements in interest rates. The Company is exposed to interest rate risk as a result of mismatches or 'gaps' in the amounts of assets and liabilities that mature or reprice in a given period.

Based on the Company's financial assets and liabilities held at the year end, an assumed 50 basis points increase in interest rate, with all other variables held constant, would impact the Company's profit as follows:

Movement in \ basis points	Effect on profit and equity	
	2018/2019 Rs.	2017/2018 Rs.
'+- 50	(1,904,664)	(1,212,365)
'+- 50	1,904,664	1,212,365

The Company is not exposed to equity risk as they do not have equity investments.

2) Credit Risk

Credit risk is the risk that one party to a financial instrument will fail to discharge an obligation and cause the other party to incur a financial loss. The Company attempts to control credit risk by monitoring credit exposures, limiting transactions with specific counterparties, and continually assessing the creditworthiness of Company maintains bank accounts, Deposits with highly reputed financial institutions/Banks. Also its most of the receivables are, related parties within Abans Group counterparties.

Exposure to Credit Risk

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the Reporting date was:

	Gross Exposure (Rs.)		Net exposure (Rs.)	
	As at 31.03.2019	As at 31.03.2018	As at 31.03.2019	As at 31.03.2018
Cash at bank	46,105,290	71,999,838	46,105,290	71,999,838
Amounts due from related parties	449,572,842	566,026,454	449,572,842	566,026,454
Trade and other receivables	185,798,862	158,949,504	185,798,862	158,949,504
Financial instruments at amortized cost	251,155,519	170,567,277	251,155,519	170,567,277

c) Equity price risk

Equity price risk is the risk that the value of a financial instrument will fluctuate as a result of changes in market prices, whether those changes are caused by factors specific to the individual security, or its issuer, or factors affecting all securities traded in the market.

3) Liquidity Risk

Liquidity risk is the risk that the Company will be unable to meet its liabilities when they fall due. To limit this risk, management has arranged diversified funding sources, manages assets with liquidity in mind, and monitors liquidity on a daily basis. The table below analyses the Company's non-derivative current liabilities based on the remaining period at the reporting date to the contractual maturity date.

	Less than 3 Rs.	3-6 months months Rs.	6-12 months Rs.	Total Rs.
31 March 2019 Current liabilities	670,513,975	254,177,422	137,828,529	1,062,519,926
31 March 2018 Current liabilities	742,725,010	291,536,517	126,998,123	1,161,259,651

37. Summary of Financial Assets and Liabilities

Summary of the financial assets and financial liabilities with the measurement type is as below ;

	Measured at fair value Rs.	Carried at cost Rs.	Amortised cost Rs.	Total Rs.
31-Mar-19				
Financial assets:				
Cash at bank and In hand	-	-	48,582,203	48,582,203
Amounts due from related parties	-	-	449,572,842	449,572,842
Trade and other receivables	-	-	155,786,560	155,786,560
Financial investments at amortised cost	-	-	251,155,519	251,155,519
Financial liabilities:				
Borrowings	-	-	632,088,368	632,088,368
Amounts due to related parties	-	111,259,467	-	111,259,467
Trade and other payables	-	336,696,065	-	336,696,065
31-Mar-18				
Financial assets:				
Cash at bank and In hand	-	-	73,608,395	73,608,395
Amounts due from related parties	-	-	566,026,454	566,026,454
Trade and other receivables	-	-	134,580,200	134,580,200
Loans and receivables	-	-	170,567,277	170,567,277
Financial liabilities:				
Borrowings	-	-	413,040,210	413,040,210
Amounts due to related parties	-	132,028,288	-	132,028,288
Trade and Other Payables	-	492,836,142	-	492,836,142

Under LKAS 39, all of the above financial assets are categorised as loans and receivables.

General

Stated Capital	LKR	186,732,000
No. of Shares		5,110,560
Voting Rights	One vote per Ordinary Share	

Stock Exchange Listing

This issued shares of the Company are listed with the Colombo Stock Exchange.

Market Value

The transacted values of an Ordinary Share of Abans Electricals PLC are as follows;

	2019 LKR	2018 LKR
Highest Price	95.00	111.90
Lowest Price	51.00	84.30
As at Balance Sheet Date	52.00	84.30

Market Capitalization Value

The market capitalisation value of the Company as at 31st March 2019 is LKR 265,749,120.00 (LKR 430,820,208.00 , 2018)

Distribution of Equity as at 31st March 2019

Holdings	No. of Holders	No. of Holders %	Total Holding	Total Holdings %
1-1,000 shares	1,291	84.66	202,961	3.97
1,001-10,000 shares	193	12.66	545,399	10.67
10,001-100,000 shares	34	2.23	839,634	16.43
100,001-1,000,000 shares	6	0.39	1,327,387	25.97
Over 1,000,000 shares	1	0.07	2,195,179	42.95
Grand Total	1,525	100.00	5,110,560	100.00

Composition of Shareholding as at 31st March 2019

Category	No. of Holders	No of Shareholders %	Total Holding	Total Holding %
Individual	1,435	94.10	2,416,516	47.28
Institutional	90	5.90	2,694,044	52.72
Total	1,525	100.00	5,110,560	100.00

Analysis of Shareholders as at 31st March 2019

Category	No. of Holders	No of Shareholders %	Total Holding	Total Holding %
Resident	1,508	98.89	4,911,369	96.10
Non-Resident	17	1.11	199,191	3.90
Total	1,525	100.00	5,110,560	100.00

Public Shareholding percentage as at 31st March 2019 was 47.19%

Twenty Major Shareholders of the Company

Name	31st March 2019		31st March 2018	
	No. of Shares	% of issued Capital	No. of Shares	% of issued Capital
ABANS PLC	2,195,179	42.95	2,195,179	42.95
MRS S. DUBASH	295,820	5.79	295,820	5.79
MRS A. PESTONJEE	293,438	5.74	293,438	5.74
MR R. PESTONJEE	226,872	4.44	226,872	4.44
MR P.N. PESTONJEE	199,952	3.91	199,952	3.91
BANK OF CEYLON NO. 1 ACCOUNT	196,305	3.84	196,303	3.84
MR A.J.M. JINADASA	115,000	2.25	93,000	1.82
DR K. POOLOGASUNDRAM	72,076	1.41	72,076	1.41
BANSEI SECURITIES CAPITAL (PVT) LTD/P.BASNAYAKE	53,125	1.04	-	-
MR S. ABISHEK	51,436	1.01	-	-
DR S. YADDEHIGE	50,000	0.98	50,000	0.98
MR G.C. GOONETILLEKE	44,000	0.86	44,000	0.86
MRS B.S. RASANAYAGAM	43,680	0.85	43,680	0.85
MR N.R. SELVADURAI	40,000	0.78	40,000	0.78
MR A.J. DUBASH	38,808	0.76	38,808	0.76
TRANZ DOMINION,L.L.C.	31,611	0.62	31,611	0.62
MR S.S. SITHAMBARANATHAN	30,789	0.60	24,190	0.47
MR T. LIYANAGE	23,868	0.47	23,868	0.47
MR J.D. JORGE CALDERON	23,344	0.46	-	-
ALPEX MARINE (PVT) LTD	23,302	0.46	-	-
Others	1,061,955	20.78	1,241,763	24.30
Total	5,110,560	100.00	5,110,560	100.00

Value Added Statement

For the Year Ended 31st March

	Manufacturing	2019 Service	Total	Manufacturing	2018 Service	Total
Economic Value Generated						
Revenue	2,042,526,572	828,031,182	2,870,557,754	2,631,510,557	861,055,942	3,492,566,499
Finance Income	1,057,026	22,641,879	23,698,905	1,144,983	16,655,580	17,800,563
Profit on Sale of Assets	11,035,443	2,120,202	13,155,644	12,785,059	2,345,218	15,130,277
Other Income	26,325,676	6,895,136	33,220,812	35,625,441	3,768,851	39,394,292
Valuation Gain from Investment Property	-	9,040,000	9,040,000	-	-	-
	2,080,944,717	868,728,398	2,949,673,115	2,681,066,040	883,825,590	3,564,891,630
Economic Value Distributed						
Operating Cost	1,668,301,778	440,855,207	2,109,156,985	2,305,496,978	439,938,051	2,745,435,029
Employee Wages and Benefits	253,924,848	353,864,785	607,789,633	240,281,571	361,124,693	601,406,264
Payments to Providers of Funds - Equity	5,110,560	5,110,560	10,221,120	7,665,840	7,665,840	15,331,680
Payments to Providers of Funds - Debt	63,525,158	62,023	63,587,181	59,772,075	71,366	59,843,441
Payments to Government	9,423,646	13,793,460	23,217,106	32,672,475	15,286,480	47,958,955
Community Investment	902,734	50,500	953,234	45,000	20,523	65,523
	2,001,188,724	813,736,536	2,814,925,260	2,645,933,940	824,106,953	3,470,040,893
Economic Value Retained						
Depreciation	51,600,818	19,023,876	70,624,693	47,020,683	19,460,964	66,481,647
Profits after Dividends	28,155,176	35,967,987	64,123,163	(11,888,583)	40,257,673	28,369,090
	79,755,993	54,991,863	134,747,856	35,132,100	59,718,637	94,850,737

All Figures are in LKR

31 March		2019	2018	2017	2016	2015
Operating Results in LKR '000						
Revenue		2,870,558	3,492,566	4,028,610	3,506,809	2,731,611
Gross Profit		397,554	392,845	432,017	479,398	387,355
EBIT		144,017	154,356	159,937	180,957	131,117
Finance Cost		67,470	62,417	79,298	40,609	31,116
Profit before Tax		76,546	91,939	80,639	140,348	100,001
Tax Expense		2,202	48,237	25,239	41,525	6,257
Profit after Tax		74,344	43,701	55,400	98,823	93,744
Financial Position in LKR '000						
Property Plant & Equipment (PPE)		1,220,449	966,037	608,224	572,881	541,111
Non Current Assets other than PPE		339,385	202,279	147,586	131,375	84,512
Current Assets		1,234,689	1,424,676	1,724,440	1,313,034	995,235
Current Liabilities		1,062,520	1,161,260	1,507,926	1,066,761	756,965
Non Current Liabilities		382,352	252,467	132,065	172,556	171,453
Shareholders' Fund		1,349,651	1,179,265	840,259	777,973	692,440
Total Debt		632,088	413,040	723,228	559,996	408,119
Cash Flows in LKR '000						
Net cash flows from / (used in) Operating Activities		55,249	100,200	(37,201)	179,723	142,108
Net cash flows from / (used in) investing activities		(273,419)	(15,624)	(109,015)	(134,255)	(123,543)
Net cash flows from / (used in) financing activities		195,772	(29,051)	118,875	(31,232)	(32,040)
Net increase / (decrease) in cash and cash equivalents		(22,398)	55,525	(27,341)	14,236	(13,475)
Key Indicators						
Basic Earnings per Share	LKR	14.55	8.55	10.84	19.34	18.34
Dividend per Share	LKR	2.00	3.00	3.00	3.00	2.50
Interest Coverage	No. Times	2.13	2.47	2.02	4.46	4.21
Current Ratio	No. Times	1.16	1.23	1.14	1.23	1.31
Gearing (D/D+E)	%	31.90	25.94	46.26	41.85	37.08
Net Asset per Share	LKR	264.09	230.75	164.42	152.23	135.49
Market Price per Share	LKR	52.00	84.30	88.20	111.10	105.70
Return on Equity	%	5.51	3.71	5.56	12.70	13.54

Notice is hereby given that the THIRTY SEVENTH ANNUAL GENERAL MEETING of the Company will be held at CA Sri Lanka Level 06 on 18th September 2019 at 3.30pm. for the following purposes.

1. To receive and adopt the Report of the Directors, the Audited Statement of Accounts of the Company for the year ended 31st March 2019 and Report of the Auditors thereon.
2. To declare first and final dividend of Rs.3/- per share for the year ended 31st March 2019 as recommended by the Directors.
3. To re-elect Mr. Kumar De Silva, a Director of the Company who retires by rotation in terms of Article 89 of the Articles of Association of the Company. The Directors recommend the re-election of Mr. Kumar De Silva, as a Director of the Company.
4. To re-elect Mr. Dinal Mario Rex Phillips, a Director of the Company who retires by rotation in terms of Article 89 of the Articles of Association of the Company. The Directors recommend the re-election of Mr. Dinal Mario Rex Phillips as a Director of the Company.
5. To re-elect Mrs. Aban Pestonjee, Chairperson of the Company who being over seventy years of age retires in accordance with Section 210 of the Companies Act No.07 of 2007. A notice has been received from a shareholder of the intention to move a resolution in compliance with Section 211 of the Companies Act (Refer to Note 1 below in Page No.66). The Directors recommend the re-election of Mrs. Aban Pestonjee as a Director of the Company.
6. To re-appoint M/S SJMS Associates, Auditors and to authorize the Directors to determine their remuneration.

By order of the Board
Sgd.
Varners International (Private) Limited
Secretaries
Colombo.

20 August 2019

Notes;

1. A Notice was received from a shareholder of the Company giving notice of the intention to move the following as Ordinary Resolution at the forth coming Annual General Meeting of the Company with regard to the re-election of Mrs. Aban Pestonjee who retires at the Above General Meeting.

“RESOLVED that Mrs Aban Pestonjee who is over seventy years of age be and is hereby re-elected as a Director of the Company and it is further specifically declared that the age limit of seventy years referred to in section 210 of the Companies Act No. 07 of 2007 shall not apply to the said Mrs. Aban Pestonjee”
2. A member entitled to attend and vote at the Meeting, is entitled to appoint a proxy to attend and vote on behalf of his/her and Form of Proxy is attach (page 67) to this Report for this purpose. A Proxy need not to be a member of the Company.
3. The instrument appointing a proxy is required to be deposited at the Registered Office of the Company at No.498, Galle Road, Colombo 03 or at the Office of the Secretaries at Level 14, West Tower, World Trade Centre, Echelon Square, Colombo 01 not less than forty eight hours before the time fixed for the Meeting.
4. A Form of Attendance is included in this report. Shareholders are requested to complete it and hand it over when attending the Meeting.
5. For reasons of security, it is essential that you bring with you, your National Identity Card.

I/We *
..... being a shareholder / shareholders of Abans Electricals PLC., hereby appoint;

Mrs. Aban Pestonjee of Colombo or failing her

Behman Pestonjee of Colombo or failing him

Ms. Dayangani Priyanthi Pieris of Colombo or failing her

Athula Siriwardane of Colombo or failing him

Kumar De Silva of Colombo or failing him

Dinal Mario Rex Phillips of Colombo or failing him

..... of

(National Identity Card Number.....) as my/our proxy to represent me/us on my/our behalf at the Thirty Seventh Annual General Meeting of the Company to be held on and at any adjournment thereof and at every poll which may be taken in consequence thereof.

Signed this day of 2019

Signature

Witness

01. If you cannot attend the Annual General Meeting and would wish one of the Directors or any other person to represent you, kindly perfect the Form of Proxy by filling in legibly your full name and address signing in the space provided and filling in the date of signature.
02. If the Form of Proxy is signed by an Attorney, the relative Power of Attorney should accompany the Form of Proxy for registration, if such Power of Attorney has not already been registered with the Company.
03. A Limited Liability or Corporate Shareholder should execute this proxy under its Common Seal or by its authorized attorney.
04. The completed Form of Proxy should be deposited at the Company's office, No. 498, Galle Road, Colombo 03, or at the Office of the Secretaries at Level 14, West Tower, World Trade Centre, Echelon Square, Colombo 01, at least 48 hours before the time appointed for the holding of the Meeting.

Form of Attendance

I / We* hereby record my / our* presence at the THIRTY SEVENTH ANNUAL GENERAL MEETING of Abans Electricals PLC on 18th September 2019 at 3.30 p.m. at Level 6, CA Sri Lanka, 30 A, Malalasekara Mw., Colombo 07.

(1) Full Name of Shareholder					
(2) Share Certificate Number					
(3) National Identity Card Number					
(4) Address					
(5) Name of Proxy holder (if applicable)					
(6) National Identity Card Number of Proxy holder					
(7) Address of Proxy holder					
(8) Number of Shares held		CDS		Non CDS	

* Please delete what is inapplicable

.....
Signature of Shareholder

.....
Date

- Note
- (i) Shareholders are requested to bring this Form of Attendance when attending the meeting and hand it over at the entrance to the meeting hall.
 - (ii) Shareholders appointing proxies (other than Directors of the Company) to attend the Meeting are requested to indicate the National Identity Card number of the Proxy holder on the Form of Proxy and request the Proxy holder to bring along his / her National Identity Card.

NAME OF THE COMPANY	Abans Electricals PLC.
LEGAL FORM	Public Quoted Company
COMPANY INCORPORATION	Incorporated in Sri Lanka under the Companies Ordinance No. 51 of 1938 (Chapter 145 of the Legislative Enactment of Sri Lanka 1956 Revised Edition) as a Private Liability Company on the 25 th of November 1981.
REGISTRATION NO	PQ 188 (Former Registration No.PVS 7974) The company was re-registered in accordance with Companies Act No. 7 of 2007 on 18 th August 2008.
STOCK EXCHANGE LISTING	Ordinary Shares of the Company were listed with Colombo Stock Exchange on 7 th March 1983.
REGISTERED OFFICE	No.498, Galle Road, Colombo 03.
WEB SITE	www.abansgroup.com
DIRECTORATE	Mrs. A. Pestonjee (Chairperson) Mr. B. Pestonjee Mr. Athula Siriwardane Mrs. D. P. Pieris Mr. Kumar De Silva Mr. D. M. R. Phillips
BANKERS	Hatton National Bank PLC People's Bank Bank of Ceylon Sampath Bank PLC Hongkong and Shanghai Banking Corporation Limited Seylan Bank PLC Union Bank Commercial Bank of Ceylon PLC
LAWYERS	Varners Level 14, West Tower, World Trade Centre, Echelon Square, Colombo 01.
AUDITORS	SJMS Associates Chartered Accountants No.2, Castle Lane, Colombo 04.
SECRETARIES	Varners International (Pvt) Ltd Level 14, West Tower, World Trade Centre, Echelon Square, Colombo 01.
E-MAIL ADDRESS	fmael@abansgroup.com
TELEPHONE NO	011-5776430
FAX NO	011-2635157



ABANS ELECTRICALS PLC

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